



VALLEY SPIRE

Unlocking Value One Business Transition at a Time

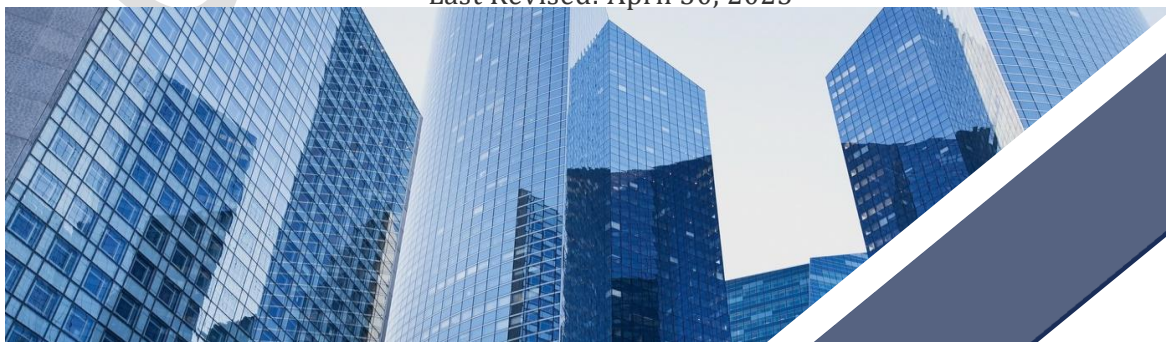


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STRICTLY CONFIDENTIAL

Confidential Business Profile

Last Revised: April 30, 2025



VALLEY SPIRE
Unlocking Value One Business Transition at a Time

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Purpose

This Confidential Business Profile ("CBP"), presented by Valley Spire, operating under the broker of record Sunbelt Business Brokers Premier ("the Broker") is intended to acquaint a prospective purchaser with preliminary information regarding the client company, Honey-Bee Ham Co. Inc., ("the Company") whose business is currently available for acquisition, sale or merger. The format of the CBP is designed to reflect to a prospective purchaser the factors that create value within the Company.

This CBP is only being furnished to prospective purchasers that have signed a Confidentiality Agreement and have made a specific request for information regarding the Company for the purpose of determining any interest in submitting an offer to acquire the Company or its assets. Each prospective purchaser is responsible for the performance and expense of the due diligence review prior to any acquisition of the Company or its assets.

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Disclaimer

The Company has supplied the information contained in this CBP. The Broker has not audited or otherwise confirmed this information and makes no representations, expressed or implied, as to its accuracy or completeness or the conclusions to be drawn and shall in no way be responsible for the content, accuracy, and truthfulness of such information. Any and all representations shall be made solely by the Company as set forth in a signed acquisition agreement or purchase contract, which agreement or contract shall control as to representations and warranties, if any. By requesting this CBP, the recipient acknowledges the responsibility to perform a due diligence review prior to any acquisition of, or business combination with, the Company.

The marketing information presented in this CBP is the result of the Company's management representations and a search utilizing sources and materials considered to be reliable and to contain information deemed to be relevant to the Company. However, no guarantees or warranties apply to this marketing information.

The Pro Forma Income Statements presuppose infusion of any necessary operating capital, adequacy of personnel, expertise at all levels of operations, and a firm dedication to attain growth. Such pro forma financial information and projections cannot anticipate economic, socioeconomic, and political factors, which might impact the expected growth. Accordingly, the Broker makes no representations, expressed or implied, as to the validity of the pro forma projections.



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I. COMPANY SUMMARY

Quick Facts

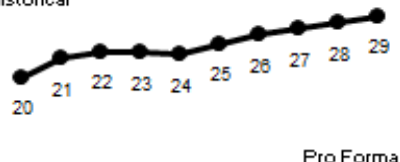
Legal Name:	Honey-Bee Ham Co. Inc.		
Description:	This specialty food retailer is known for its premium, spiral-sliced honey-glazed hams, gourmet meats, and deli offerings.		
SIC Code:	5421 – Meat Markets	NAICS Code:	445210 – Meat Markets
Business Entity:	Canadian Corporation	Employees:	3
Location:	2885 Lauzon Pkwy. Windsor, ON. N8T 3H5		
Website:	https://honeybeehamco.com/		
Ownership:	Jeff Rusnak		
Year Founded:	1983	Current ownership	7+ years
Sale considered:	Share sale		
Assets Included:	FF&E (\$119,200) Working Capital (\$5,000) Goodwill (\$295,800)		
Assets excluded:	N/A		
Price:	\$420,000		

Historical and Projected Financial Performance

Financial Year Ending (FYE) September 30

Total Revenues

Historical



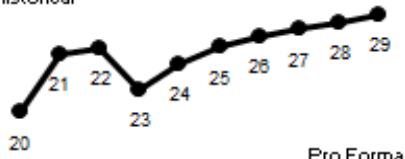
Pro Forma

	Historical		Projected	
	FYE ▲	Normalized	Proj. ▼	Normalized
2024		\$ 734,961	2025	\$ 808,457
2023		\$ 747,142	2026	\$ 873,134
2022		\$ 751,926	2027	\$ 916,790
2021		\$ 703,044	2028	\$ 962,630
2020		\$ 562,273	2029	\$ 1,010,761

Revenues

Seller's Discretionary Earnings

Historical

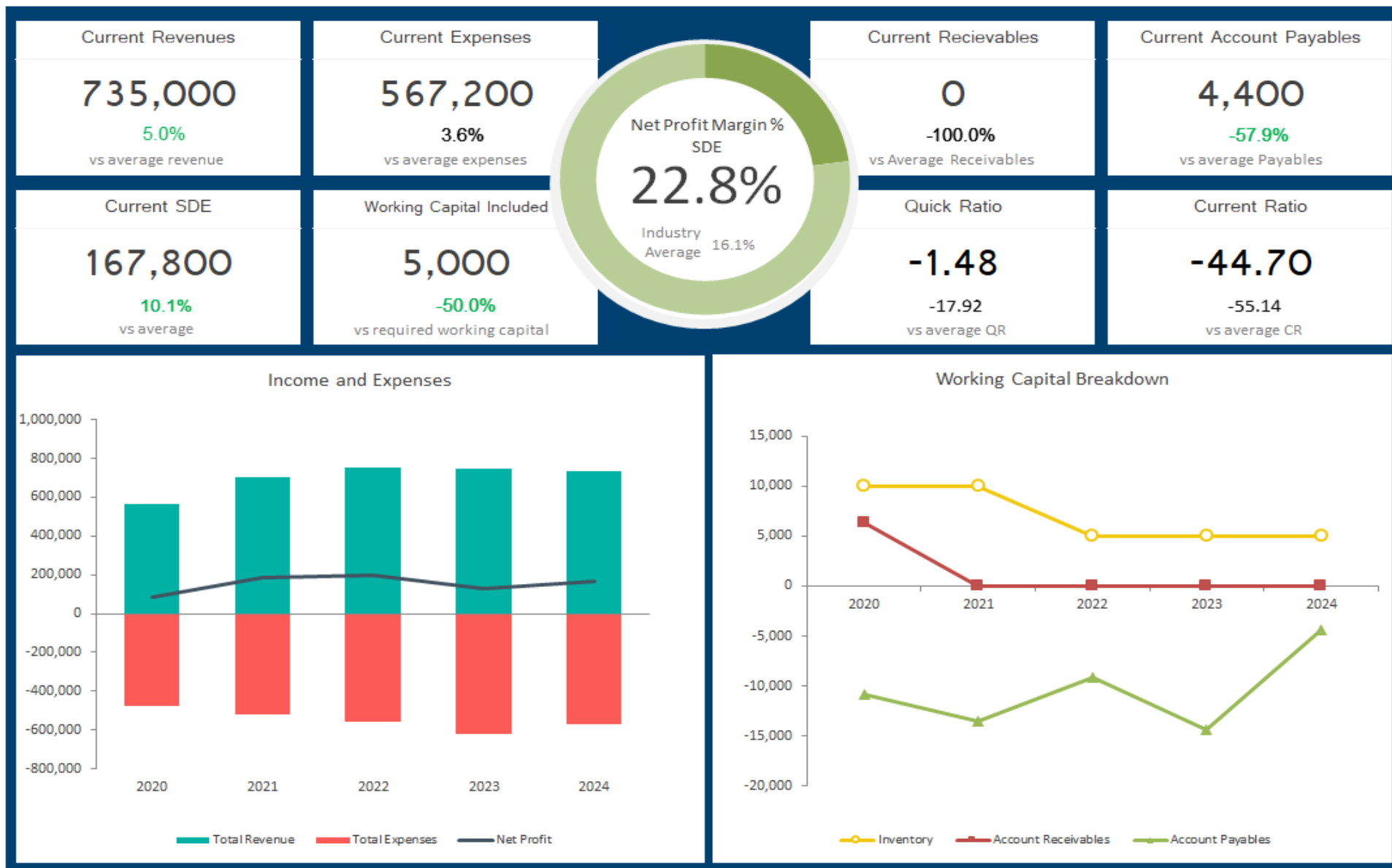


Pro Forma

	Historical		Projected	
	FYE ▲	Normalized	Proj. ▼	Normalized
2024		\$ 167,781	2025	\$ 195,594
2023		\$ 126,349	2026	\$ 213,891
2022		\$ 195,339	2027	\$ 225,678
2021		\$ 184,244	2028	\$ 238,087
2020		\$ 88,325	2029	\$ 251,149

Earnings





Glossary of Terms

Quick Ratio [Cash + A/R divided by Current Liabilities]:

The quick ratio measures a company's ability to convert liquid assets into cash to pay for short-term financial obligations.

Current Ratio [Current Assets divided by Current Liabilities]:

Similar to quick ratio, the current ratio is a liquidity ratio that measures a company's ability to pay short-term obligations or those due within one year however it also includes other current assets i.e. inventory. It tells investors and analysts how a company can maximize the current assets on its balance sheet to satisfy its current debt and other payables.

- ❖ Please note that the calculated percentages beneath the dollar figures are based on 5-year average of historical statements except for working capital average which is based on a 3-year average (refer to Projected Working Capital on page 36).
- ❖ The current revenues, current expenses, current profitability and working capital included is based on recast or normalized financial statements while the current receivables, current payables, quick ratio, and current ratio is based on reported financial statements.

Business Summary

- Established in 1983, Honey-Bee Ham Co. Inc. is Canada's first and longest-operating honey-glazed ham retailer, **serving Windsor and surrounding regions for over 40 years.**
- The business has operated from the same plaza for its entire history, becoming a well-known local institution with a loyal customer base spanning generations.
- Its signature product is a spiral-sliced, dry-cured ham glazed with local honey and spices, smoked for 30 hours, and torch-finished, to achieve a unique gourmet flavour.
- In addition to whole hams, the business offers sliced ham by the pound, a lunch deli with soups and sandwiches, and exclusive grocery items including pickles, sauces, and specialty meats.
- Holiday sales at Easter and Christmas drive significant revenue spikes, and recent seasons have produced the highest sales results under current ownership.
- Year-round operations are handled by **three dedicated employees, with 25-30 additional staff hired during peak periods** to meet seasonal demand.
- The business enjoys long-standing supplier relationships, some for over 40 years ensuring product consistency and reliability.
- Current operations are housed in a cost-effective retail unit with no formal lease in place, offering flexibility and potential for relocation to capitalize on Windsor's upcoming mega-hospital development.
- The brand enjoys strong word-of-mouth referrals and multigenerational loyalty, with many families returning each holiday season out of tradition and trust in product quality.
- In addition to retail sales, Honey-Bee Ham serves corporate clients who purchase hams and gift packages for staff and customers, especially during year-end holidays.
- The e-commerce platform enables convenient online ordering and pre-payment, supporting streamlined operations and broadening the customer base beyond local foot traffic.
- With minimal direct competition and a unique proprietary product, Honey-Bee Ham holds a defensible position in its niche market, making it an attractive acquisition for hands-on buyers or food entrepreneurs.
- The company is fully equipped with a delivery vehicle, commercial coolers, prep stations, and a walk-in fridge, allowing a new owner to take over without requiring major capital investment.
- With proven demand, reliable systems, and minimal owner involvement, this is a well-established, turnkey business ready for a hands-on owner to grow and scale.



II. BUSINESS OVERVIEW

Stockholder's Motivations

- After successfully operating the business for over 7 years, the owner is looking to retire and transition the company to a new owner who can build on its strong foundation and capitalize on future growth opportunities. For the new owner's seamless transition, the current owner has committed to a transition period to facilitate knowledge exchange, provide training, and assist in transitioning client relationships.
- Valley Spire has been engaged as an exclusive advisor to complete the sale of this company.

Investment Highlights

- **Exclusive Regional Product Selection:** Honey-Bee Ham carries a curated lineup of hard-to-find gourmet goods like Lakeside Pickles, Sun Parlor Honey, and Honeycup Mustard. These are not available in typical grocery stores, adding unique value to every transaction.
- **Strategic Relocation Opportunity:** With Windsor's new mega-hospital under construction, relocating nearby could dramatically boost lunch traffic and brand visibility to thousands of new potential customers.
- **Record-Breaking Seasonal Sales:** Recent Easter and Christmas periods delivered the highest revenues in company history, demonstrating growing consumer demand and strong seasonal scalability.
- **Low Fixed Overhead with Flexible Scaling:** Operating without a locked-in lease and maintaining a lean permanent team keeps overhead minimal while allowing fast expansion during holiday seasons.
- **Proven E-Commerce and National Shipping:** Orders are shipped across Canada with a tested system of insulated packaging and timely fulfillment, offering the buyer a national customer base from day one.
- **Turnkey Operation with Experienced Staff:** Three long-term employees manage store operations, customer service, and ham glazing, ensuring continuity and minimal training needs for a new owner.
- **Deep Supplier Loyalty:** Many key supplier relationships span over 20–40 years, securing priority access to quality meats, baked goods, packaging, and specialty products.
- **Corporate Gift Potential:** Trusted by local businesses and institutions for holiday gifts, the brand is primed for growth into larger-scale corporate gifting programs and B2B holiday campaigns.
- **Strong Word-of-Mouth and Local Media Presence:** The business has enjoyed free coverage in local press and Windsor lifestyle features, fueling organic customer growth without high marketing costs.
- **Heritage Brand with Expansion Headroom:** As Canada's first spiral ham retailer with 40+ years of goodwill, the brand is a perfect platform to expand into new markets, products, or even franchise models.



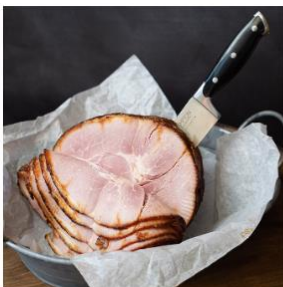
Ownership

- **Honey-Bee Ham Co. Inc.** is a Canadian corporation. Jeff Rusnak is the sole owner, holding 100% of the shares in the company.

Products

Honey-Bee Ham Co. Inc. offers a focused yet diverse range of premium food products and services designed to meet the needs of everyday customers, holiday hosts, and corporate buyers alike.

- **Spiral-Sliced Honey-Glazed Hams:** The signature product, these bone-in hams are dry-cured, smoked for over 30 hours, and hand-glazed with a proprietary blend of honey and spices for a caramelized finish.
- **Off-the-Bone Ham by the Pound:** Conveniently sliced ham sold by weight, ideal for sandwiches, smaller gatherings, or customers seeking the same gourmet flavour without purchasing a full ham.
- **Gourmet Deli Lunches:** A walk-in deli serving house-made soups, sandwiches, and salads, featuring in-house meats and fresh local ingredients; popular with weekday regulars.
- **Holiday Meal Packages:** Complete seasonal bundles including ham, side dishes, bread, and desserts offered during Thanksgiving, Easter, and Christmas for one-stop holiday shopping.
- **Specialty Grocery Items:** Hand-selected gourmet products such as pickles, mustard, barbecue sauces, pepperettes, Canadian-style bacon, and local honey, many exclusive to the region.
- **Corporate and Institutional Gifting:** Custom-packaged hams and gift certificates for businesses, churches, and non-profits seeking premium client or staff gifts during the holidays.
- **Nationwide Shipping Service:** Fully baked hams and select grocery items shipped across Canada in insulated packaging, enabling the brand to serve long-distance customers.
- **Gift Cards and In-Store Merchandise:** Branded gift certificates and retail items are available for purchase year-round, offering a flexible gifting option for both local and remote customers.



Our Hams

For more than 35 years, we've used our signature glazing on the highest quality of hams for our popular gourmet Honey Bee flavour.



Our Deli

We're all about tradition. Our soup and sandwich recipes haven't changed over the years, still made with fresh, quality ingredients.



Specialty Products

We've sourced out a great line of specialty products—pickles, pepperettes, chocolates—that get the Honey Bee seal of approval.





Deli Menu



Salads

*Choice of Italian, Ranch, Balsamic, French or Thousand Island Dressings

House Salad	\$5.00
Julienne Salad	\$13.75
<i>Ham, hard boiled egg, tomatoes, cucumbers, red peppers, green onions, cheese</i>	
Fresh Mac Plate	\$13.75
<i>Cold mac salad, ham, cheddar cheese, tomatoes, cucumbers</i>	
Mac Bowl	\$4.05
Mac Cup	\$1.50

Make It A Combo!

Sandwich, soup of the day, drink	\$13.50
Sandwich, house salad, drink	\$13.50



Sandwiches

*Choice of Light Rye, Marbled Rye, Onion or Kaiser.

Classic Ham	\$8.15
<i>Famous Honey Bee Ham, cheddar cheese, honey mustard, onion bun</i>	
Ham & Swiss	\$8.15
<i>Famous Honey Bee Ham, swiss cheese, regular mustard, kaiser</i>	
Classic Turkey	\$7.20
<i>Sliced turkey breast, mayo, lettuce, tomato, light rye</i>	
Classic Corned Beef	\$8.15
<i>Sliced corned beef, cheese, lettuce, tomato, regular mustard, homemade sauce, light rye</i>	
Egg Salad	\$5.00
<i>Lettuce, tomato, light rye</i>	

ADD CHEESE	\$0.95
ADD THICK CHEDDAR	\$1.50

Hot Dog	\$3.75
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Soups

Soup of the Day	\$4.50
------------------------	--------

Sides

Deli Pickle	\$1.00
Pepperoni (Hot or Mild)	\$1.50
Mac & Ham (small)	\$1.50
Chips	\$1.69
<i>Plain, SunChips, BBQ, Doritos</i>	
Candy Bar	\$1.30
Pastries	\$1.30
Veggie Sticks	\$2.00
Drinks	\$1.50
<i>Pop, Water, Juice, V8, Coffee, Tea</i>	
GatorAde	\$2.50
Milk	\$2.75

Or Pick 2 Sides For \$2

Deli Pickle	Regular Drink
Mac & Ham	Chips
Pepperoni - Hot/Mild	Veggie Sticks



III. SALES AND MARKETING

Target Market

Honey-Bee Ham Co. Inc. serves a loyal and diverse customer base that spans local families, corporate clients, and nationwide consumers. The business has cultivated strong repeat relationships through consistent quality and convenience across multiple sales channels.

- **Holiday Retail Customers:** Families and individuals who return each year to purchase whole hams and full meal packages for holidays such as Christmas, Easter, and Thanksgiving. These customers often pre-order in advance and are highly loyal to the brand.
- **Local Lunch and Walk-In Shoppers:** Nearby residents and professionals who frequent the deli for soups, sandwiches, and sliced ham. This group provides steady daily traffic and helps maintain a reliable year-round revenue base.
- **Corporate and Institutional Buyers:** Businesses, churches, and nonprofits who order bulk hams and gift packages during holiday seasons for employee appreciation or fundraising events.
- **Online and Out-of-Town Customers:** Shoppers across Canada who place orders via the website for holiday gifts or personal enjoyment, drawn by the brand's specialty products and national shipping capabilities.

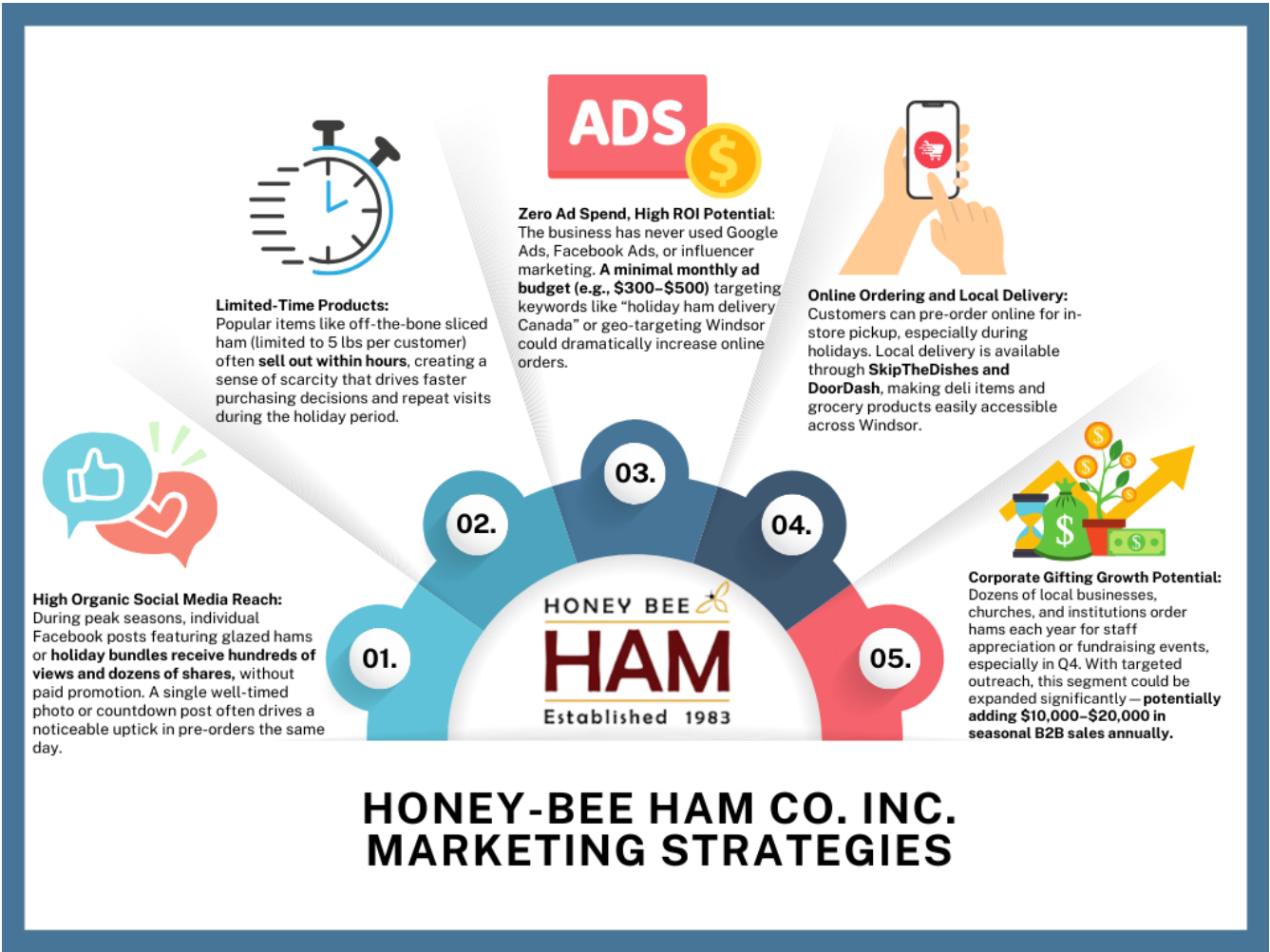
Region	Key Market Served
Windsor-Essex (Local)	Primary walk-in customer base for deli, sliced ham, and in-store holiday purchases.
Greater Southwestern Ontario	Drive-in customers and regional gift purchasers seeking premium holiday meals.
Ontario (Outside Local Region)	Corporate and institutional clients order in bulk for staff and client gifting.
National (Canada-Wide)	Online shoppers ordering hams and specialty items for delivery, especially on holidays.
Seasonal U.S. Snowbirds	Canadian snowbirds returning for holidays or ordering gifts for family back home.

Honey-Bee Ham Co. Inc. maintains a strong local presence while steadily expanding its reach across Ontario and nationwide. With a loyal base in Windsor and growing interest from regional and online buyers, the business is well-positioned to scale its market footprint under new ownership.



Marketing and Promotion

Honey-Bee Ham Co. Inc. has built its brand primarily through strong word-of-mouth, seasonal visibility, and loyal customer retention. While current marketing efforts are modest, the business benefits from decades of goodwill and community recognition, leaving room for strategic expansion in digital and B2B outreach.



 Honey-Bee Ham Co. ★ 8.9 2885 Lauzon Pkwy Windsor, ON, N8T 3H5, CAN	Uber Eats Honey bee ham co 4.9 ☆ (67) • American • Sandwiches • Deli • Healthy 2885 Lauzon Pkwy, Windsor, N8T 3H5
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Honey Bee Ham

2885 Lauzon Pkwy, Windsor, ON N8T 3H5, Canada

4.4 ★★★★★ 124 reviews ⓘ



David Milec
8 reviews



★★★★★ 2 months ago

Honey Bee Hams never disappoint, a delicious quality ham every time. I always save the bone, makes a fantastic soup. I've never had another ham that even comes close. Highly recommend them



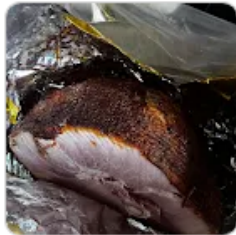
Laurie Soda
Local Guide · 150 reviews · 305 photos



★★★★★ 6 months ago

Ok this really is the best ham in Windsor. It's expensive but worth it. Customer service is excellent. Their honey mustard is delicious.

I highly recommend anyone to get a ham



Warren Mac
Local Guide · 21 reviews · 49 photos



★★★★★ a year ago

Take out | Lunch | CA\$1–10

Absolutely! The best time sandwich around. It is opulent delicious, fresh and plentiful. The ham perfectly seasoned with just a wonderful kiss of honey and the bun, oh the onion bun. Fresh and sliced and beautifully crafted with a ham with just a hint of hot honey mustard... If you haven't been here you got to try it.



Vanessa Cain
11 reviews



★★★★★ a year ago

Sandwiches are delicious and reasonably priced.



Sales & Payment Cycle

Honey-Bee Ham Co. Inc. operates on a highly seasonal sales cycle, with the majority of annual revenue generated during Easter, Thanksgiving, and Christmas. These peak periods are supported by pre-orders placed weeks in advance, while the remainder of the year is sustained through deli sales, walk-in retail, and occasional bulk or corporate orders.

- **Holiday Pre-Orders:** Customers begin placing holiday orders 3–4 weeks before Easter and Christmas. These orders are typically for whole hams, meal packages, or bulk gifting and are fulfilled over a concentrated 1–2 week window.
- **In-Store Retail and Deli Sales:** Daily foot traffic supports a steady volume of deli lunches, sliced ham, and grocery item sales. These are mostly walk-in transactions with same-day fulfillment.
- **Online Orders:** Customers can place orders for pickup through the website or delivery via SkipTheDishes and DoorDash. Online pre-orders are common during the holidays and are paid at checkout.
- **Corporate and Group Sales:** Local businesses and organizations often order hams in bulk for staff appreciation or fundraising. These orders may be arranged directly with the owner and occasionally involve short-term payment terms.

Stage	Description	Payment Terms
Walk-In Purchase	Customers visit the store to buy deli items, sliced ham, or specialty groceries.	Paid immediately at the counter (cash/debit/credit).
Holiday Pre-Orders	Customers reserve whole hams or meal packages in advance for Christmas/Easter.	Paid in full at the time of order (online or in-store).
Online Pickup Orders	Orders are placed through the website for pickup at the store.	Paid online via credit card at checkout.
App-Based Delivery	Local orders through SkipTheDishes or UberEats for ready-to-eat meals or items.	Paid via the app; funds remitted by platform.
Corporate & Group Orders	Bulk orders for staff gifting, events, or fundraising, are coordinated directly.	Typically 50% deposit; balance on delivery or Net 15 for approved clients.



Suppliers

- Honey-Bee Ham Co. Inc. relies on a trusted network of long-term suppliers who provide consistent, high-quality ingredients and products essential to daily operations. Many of these relationships span decades, ensuring stability, competitive pricing, and dependable service. This strong supplier foundation supports the business's reputation for excellence and smooth seasonal scaling.

Supplier Name	Product Supplied	Years Partnered	Notes / Website
Dearborn Sausage Co.	Spiral hams/specialty meats	43+ years	Longest-standing supplier; primary meat source. https://dearbornbrand.com
Galati Cheese	Specialty cheeses	2 years	Local/regional cheese supplier. https://galaticheese.com
Steimar Bread	Fresh bread & buns	2 years	Used in deli meals and holiday bundles. https://www.stiemar.com
Lakeside Pickles	Pickles, relishes, condiments	25 years	www.lakesidepacking.com
Harry White Sales	Packaging and equipment supplies	30 years	Supplier of vacuum seal bags and packaging
Rudy's Kielbasa	Smoked sausages & kielbasa	20 years	Specialty grocery items. https://www.rudysdelicatessen.ca
Champions	General grocery & dry goods	25 years	Supplies sauces, condiments, and dry stock



Competition

Honey-Bee Ham Co. Inc. operates in a unique niche with minimal direct competition. While large grocery chains and butcher shops may sell ham products, none offer the same combination of proprietary preparation, holiday-focused service, and locally curated product bundles. The business's longevity, brand loyalty, and specialization in spiral-sliced honey-glazed hams provide a strong competitive moat.

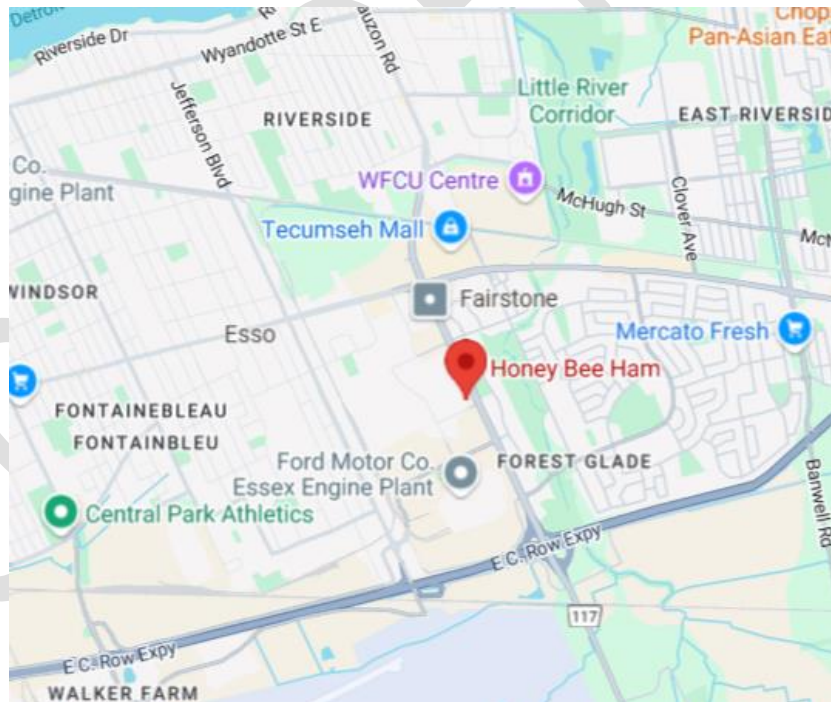


IV. FACILITIES & LEASE SUMMARY

Lease Summary

Honey-Bee Ham Co. Inc. has operated from the same location at **2885 Lauzon Parkway, Windsor, Ontario** for over 42 years. While there is currently no formal lease in place, the business continues under a stable month-to-month agreement. The landlord relationship is excellent, and a formal lease can be secured upon request, offering both continuity and flexibility to a new owner.

- The business occupies a high-visibility retail unit in a well-known East Windsor plaza with easy access and ample parking.
- Rent has remained unchanged for the past 7+ years under an informal month-to-month agreement.
- The landlord is cooperative and supportive, with the seller confident that a formal multi-year lease could be secured quickly if requested by a buyer.
- The space includes retail, deli, kitchen, and storage areas, fully outfitted for current operations.
- A strategic relocation opportunity exists near Windsor's upcoming mega-hospital, which could significantly increase foot traffic and deli sales.



Furniture, Fixtures, and Equipment

- The sale includes all essential furniture, fixtures, and equipment with an estimated **current market value of approximately \$119,200**, including a branded delivery van, commercial coolers, prep tables, a walk-in cooler, freezers, and a digital scale with label printer—all in operational condition and ready for continued use.
- All FF&E is in great working order and excellent condition, ensuring optimal functionality for daily operations.



V. INDUSTRY AND MARKET ANALYSIS

Adapted from IBIS WORLD - 445210 - Meat Markets in the US -April. 2025

Industry Overview

Smoked out: Increasing consumer spending and low unemployment will likely boost industry revenue

Over the past five years, the Meat Markets industry has endured heightened competition from traditional and nontraditional retailers, while health consciousness has turned some consumers off from meat altogether. Health concerns have also encouraged consumers to opt for specialty meat products over conventional, mass-retailed products. Organic, grass-fed and custom cuts are just some of the products that have boosted foot traffic to meat markets during the period. With the swelling popularity of ethnic food, more consumers are seeking uncommon cuts of meat, including oxtail, lamb ribs and top-blade steak, which are often difficult to find in supermarkets or wholesale clubs. Amid shifting consumer preferences, revenue for meat markets is estimated to strengthen at a CAGR of 2.9% to reach an expected \$10.6 billion over the past five years, although revenue is anticipated to drop 0.2% in 2024 alone. COVID-19 inflated meat market sales to a historical high as consumers sought locally sourced and quality ingredients to cook their meals at home. The pandemic accelerated a trend toward health consciousness, which has had differing effects on meat market sales. Plant-based alternatives that mimic the taste and texture of meat are becoming more popular as consumers seek to expand their palates and consume less red meat for both health and environmental purposes. Still, meat remains a staple in the American diet and consumers have increasingly turned to butchers and delicatessens for organic, sustainable and high-quality meats. Rising disposable income has also supported demand for these high-margin meat products.

Competition from alternative meat retailers, like supermarkets and online grocery delivery services, has intensified over the past five years and will continue expanding over the next five. Larger retailers will capitalize on their scale to offer lower prices, weakening meat markets' pricing power. Profit will struggle to expand in a more competitive environment. Demand for value-added meat products from butchers and delicatessens will persist, contributing to marginal growth for meat markets. Over the next five years, revenue is expected to inch up at a CAGR of 0.7%, reaching an estimated \$11.0 billion in 2029.

Revenue

\$10.6bn

2019-24 CAGR ↑ 2.9 %

2024-29 CAGR ↑ 0.7 %

Employees

48,925

2019-24 CAGR ↑ 1.8 %

2024-29 CAGR ↑ 0.9 %

Businesses

8,630

2019-24 CAGR ↑ 1.2 %

2024-29 CAGR ↑ 0.7 %

Profit

\$403.9m

2019-24 CAGR ↑ 2.4 %

Profit Margin

3.8%

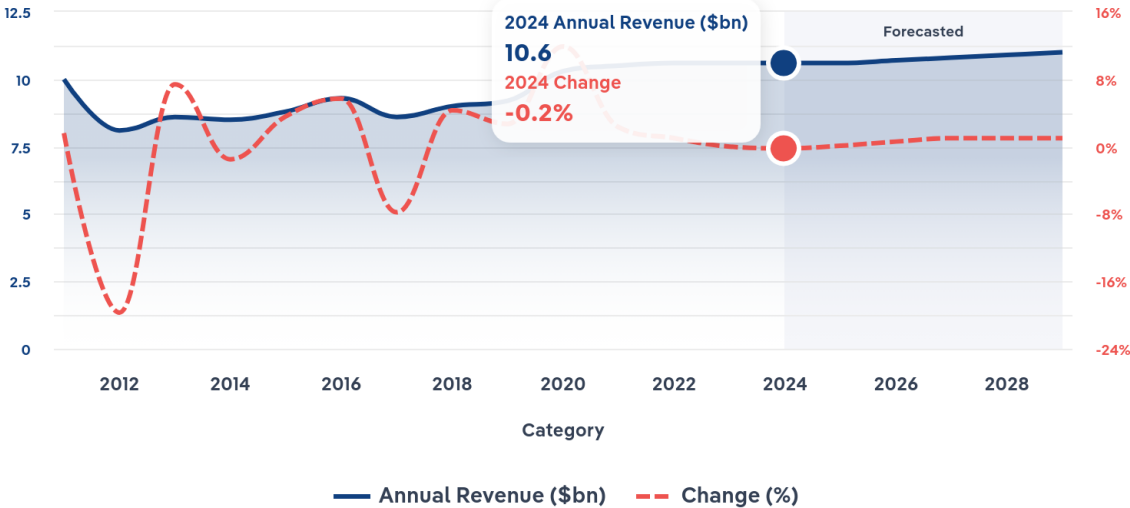
2019-24 CAGR ↓ 0.1 pp



Performance Snapshot

Revenue

Total value (\$) and annual change from 2011 – 2029. Includes 5-year outlook.

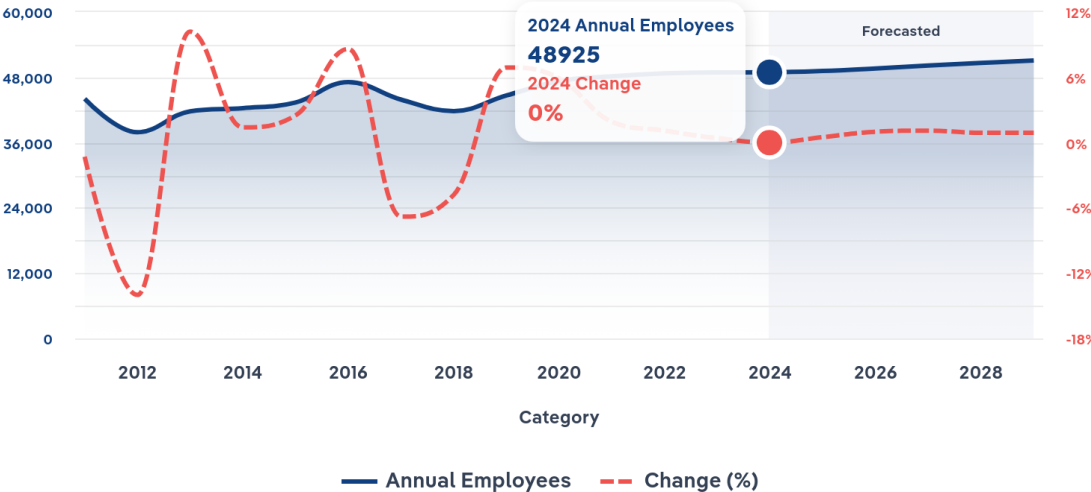


IBISWorld

Source: IBISWorld

Employees

Total number of employees and annual change from 2011 – 2029. Includes 5-year outlook.



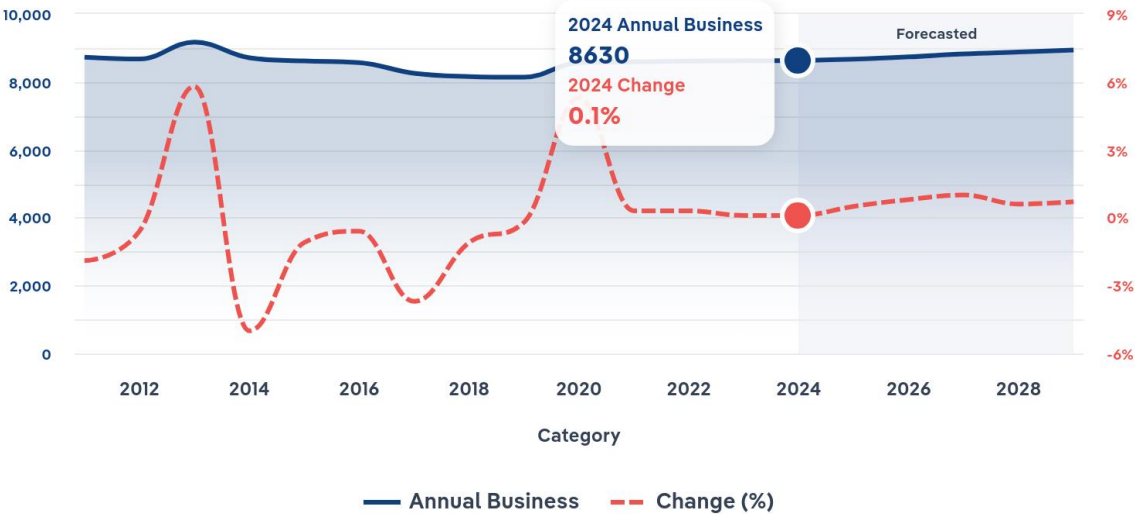
IBISWorld

Source: IBISWorld



Business

Total number of businesses and annual change from 2011 – 2029. Includes 5-year outlook.

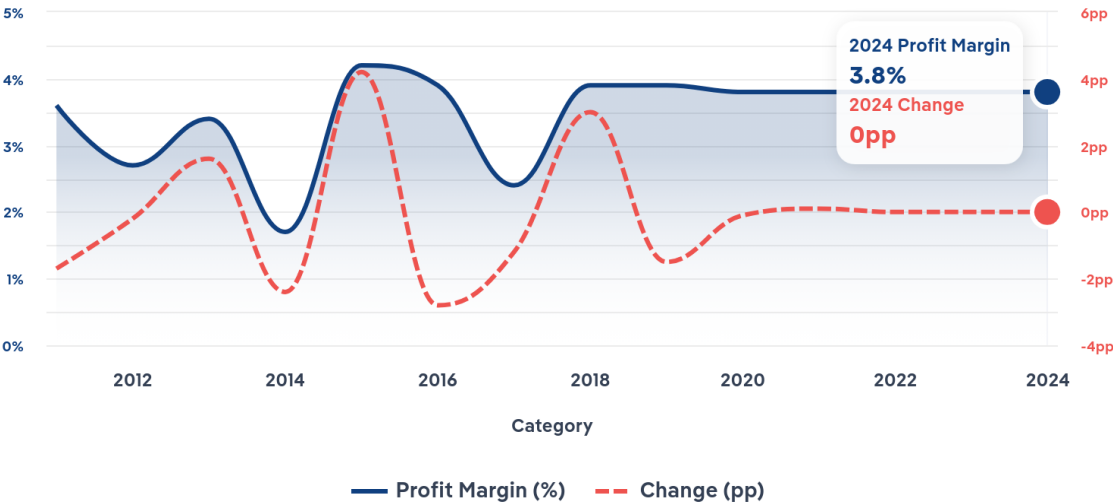


IBISWorld

Source: IBISWorld

Profit Margin

Total profit margin (%) and annual change from 2011 – 2029



IBISWorld

Source: IBISWorld



Meat markets that locally source garner heightened demand

- Many meat markets are focusing on locally sourced products to meet growing consumer preferences for sustainability and quality. Collaborating with local farms ensures fresher meats and supports regional economies.
- Local sourcing significantly reduces the environmental impact through lower transportation emissions. By minimizing the carbon footprint, meat markets attract eco-conscious buyers and enhance their reputation for sustainable practices.
- Offering unique, regional meat products allows meat markets to cater to discerning customers seeking distinctive flavors and traditions. This niche approach appeals to locavores passionate about local food systems.

Value-added products boost foot traffic to meat markets

- To cater to the fast-paced lifestyle of today's consumers, meat markets have started offering a wider range of value-added meat products, including pre-marinated and pre-seasoned meats. This move helps these meat markets distinguish themselves from regular supermarkets and grocery stores.
- Consumers also turn to value-added products to add variety to their home-cooked meals. These products provide a flavorful and easy meal solution, reducing waste and meal preparation time and offering a cost-effective option.
- By expanding offerings to include seasoned and ready-to-cook options, meat markets tap into convenience-focused customer segments. This strategy increases impulse purchases and attracts busy professionals and families who prioritize quick meal solutions without compromising on taste.

Meat consumption pushes past health concerns

- Consumers have continued to eat meat products despite expanding health consciousness and trends toward veganism and vegetarianism. Meat remains a primary source of protein and essential nutrients, with its unique umami flavor appealing to various taste preferences and culinary traditions.
- Meat is a staple in the average American diet and is a critical component of many cuisines eaten by the rising immigrant population. Butchers and delicatessens cater to shifting consumer preferences by offering high-quality and ethnic varieties of meats, including organic and hormone-free options.
- Despite health trends, social and cultural factors sustain meat demand. Family meals and traditional recipes often incorporate meat, reinforcing its presence in everyday diets. Meat markets thrive by celebrating these cultural connections while offering healthier, leaner cuts.



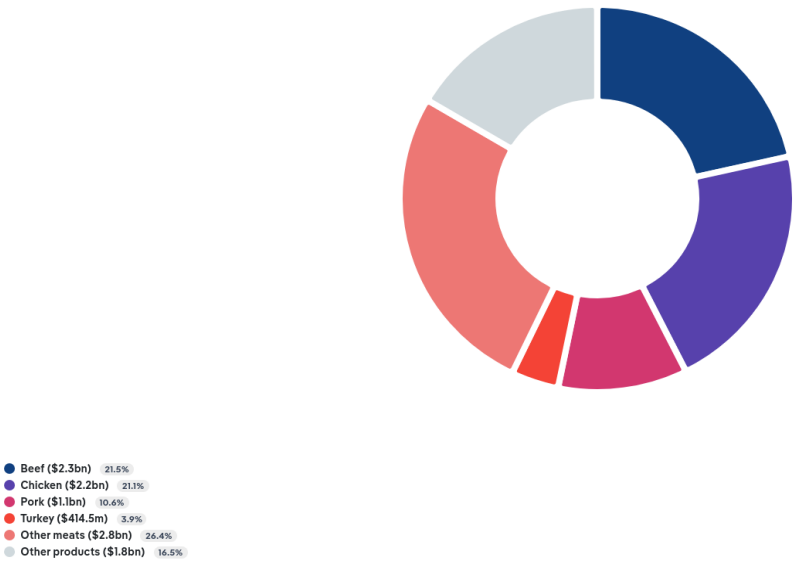
Online sales and direct-to-consumer channels revolutionize meat markets

- The rapid expansion of e-commerce has empowered meat markets to reach wider audiences by providing convenient, direct-to-consumer delivery services that appeal to modern shopper preferences for ease and accessibility.
- Online retail channels allow meat markets to carefully curate product offerings and use sophisticated digital marketing strategies to engage, inform and expand their consumer base nationally.
- Consumers appreciate the simplicity of ordering meats online, having access to detailed product descriptions and reading customer reviews, all of which significantly impact their purchase decisions.
- Implementing subscription models or offering custom meat boxes allows markets to deliver personalized shopping experiences, enhance customer satisfaction and promote long-term loyalty.

Products & Services

Products & Services Segmentation

Industry revenue in 2024 broken down by key product and service lines.



IBISWorld

Source: IBISWorld

Meat markets keep beef sales afloat through specialty cuts

- This segment includes the sales of beef products. While health consciousness has somewhat mitigated red meat consumption over the past five years, beef remains the second-most consumed meat per capita.
- Beef consumption has fallen slightly over the past five years amid economic concerns since beef is typically more expensive than chicken. Still, meat markets have expanded their beef sales through their reputation of serving high-quality and specialty cuts of red meat.

Poultry sales waver as other retailers expand organic product selections

- This segment includes sales of chicken and turkey products. Poultry sales at butchers and delicatessens have faltered over the past five years as consumers have turned to supermarkets and grocery stores for basic chicken and turkey products.

Grocery items boost meat markets' foot traffic

- This segment includes sales from all other products, including dairy products, fresh produce, baked goods, dry goods, beverages and kitchenware.
- By diversifying their product range, butchers and delicatessens can attract a wider customer base, combining quality meat products with essential grocery items for a one-stop shopping experience.

Value-added products support pork sales

- This segment includes sales of pork products. Pork consumption has remained stable over the past five years, despite the expansion in vegetarian and vegan diets.
- Butchers and delicatessens have enhanced their selections of value-added pork products, like marinated tenderloins, keeping pork sales steady. This move diversifies their offerings and meets evolving consumer tastes.

Consumers trust butcher shops with exotic meats

- The sales of lamb, veal and exotic meats like bison and venison represent a premium segment in the meat market. These are often marketed as specialty or gourmet products, catering to consumers looking for unique or high-quality alternatives to traditional beef, pork and poultry. These types of meats are often more expensive.
- Meat markets have a reputation for offering diverse and specialty meat products, including less common ones like veal and wild game, promoting sales.
- Butchers and delicatessens have stimulated demand for other meats through different preparation methods, like curing and smoking. These old-age culinary techniques enhance the flavors, leading to a surge in popularity for less-known cuts.

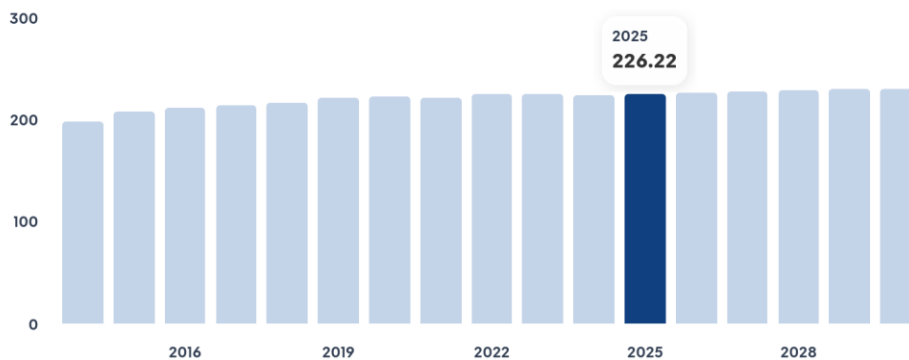


Key External Drivers

- **Meat markets don't receive direct assistance but benefit from government assistance to upstream suppliers.** Subsidies for cattle ranchers lower the purchase cost of meat for butchers and delicatessens.
- **Per capita meat consumption is still strengthening despite the expanding popularity of meat alternatives.** Many meat products are still a key component of meals in US households.

Per capita meat consumption

Pounds (lb)



IBISWorld

Source: IBISWorld

Per capita meat consumption represents the total retail weight of red and white meat that the average American consumes in one year. Health trends, consumer perceptions and prices determine per capita meat consumption. A boost in demand for overall meat products expands meat market sales, whereas a drop in consumption reduces sales.

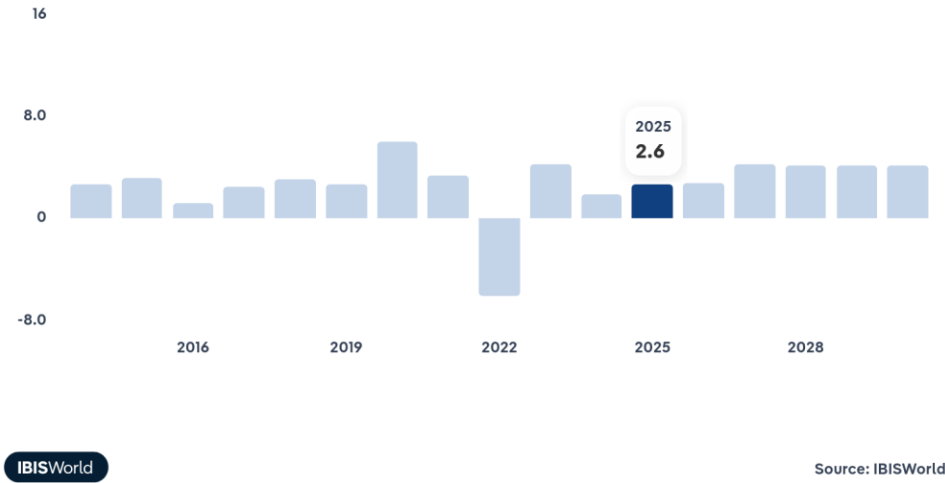
Beef and pork products comprise the largest share of industry revenue. Similar to poultry prices, higher prices of red meat boost meat markets' sales, representing a potential opportunity for meat markets. Butchers and delicatessens often pass the cost to consumers, who purchase meat regardless of price, ensuring a consistent demand for these products.

The price of poultry meat, like chicken, turkey and small game birds, is a crucial driver of meat market performance. When poultry meat prices are high, meat markets pass on the boosted purchasing costs to consumers through higher product prices. That's why a boost in the price of poultry meat can contribute to heightened meat market revenue.



Per capita disposable income

Growth



Meat markets and butcher shops typically charge higher prices for meat than competitive retail channels. Greater disposable income levels allow consumers to purchase larger volumes or more expensive cuts of meat. This also opens doors for niche markets like organic or specialty meats that enhance profit for these businesses.

Per capita seafood consumption represents the weight of seafood consumed by the average American in a single year. Seafood is expansively viewed as an alternative source of protein that's healthier than many meat products. As the popularity of this substitute strengthens, fewer consumers are purchasing meat. Therefore, a per capita seafood consumption boost poses a potential threat to meat markets.



Industry Outlook

Butchers will target high-income consumers

- Sluggish growth in per capita meat consumption will push butchers and delicatessens to concentrate more on high-margin meat products like gourmet sausages, dry-aged steaks and specialty smoked meats to maintain profit.
- High-income consumers are increasingly willing to pay a premium for quality meat products. They value ethically sourced and sustainable produce, reflecting their commitment to environmental responsibility and animal welfare.
- Meat markets will offer high-margin products to cater to a preexisting premiumization trend among high earners. These high-margin products include ethically raised, organic or exotic meats, catering to consumers who desire exceptional quality and sustainability.

Health consciousness will threaten meat consumption

- As health consciousness swells, consumers increasingly move away from red meat, pork and chicken. Many of these individuals prefer consuming fish and vegetarian alternatives, often viewed as healthier options.
- While some consumers will lessen or halt their meat consumption, others will seek leaner and organic meat products. This will prompt some meat markets to offer more variety, including organic and leaner options, to help cater to these consumers.
- Meat markets expand their offerings of organic, antibiotic-free and lean cuts of meat to offset any losses from veganism and vegetarianism. This will help meat markets sustain a substantial consumer base.

Competition from other retailers is set to intensify

- Grocery stores and supermarkets will continue expanding their meat offerings and leveraging their scale to offer lower prices. These sources provide a one-stop shopping experience for consumers looking to shop their complete grocery list.
- Meat markets will contend with growing competition from online grocery retailers like Amazon Fresh, which offer time-poor consumers a convenient way to purchase meat products from the comfort of their homes.
- The swelling popularity of meal kit delivery services will disrupt meat markets' revenue channels, as consumer demand may falter while demand from meal kit businesses expands. This will force meat markets to adapt and create new business strategies, potentially transitioning to bulk sales or partnerships with these growing meal kit companies to maintain revenue.



Climate change is likely to heighten meat prices through reduced livestock productivity

- Over the next five years, climate shifts are expected to result in more frequent and severe events like droughts and floods, significantly impacting livestock output. The anticipated reduction in output will likely force farmers to face higher operational costs, leading to inevitable increases in consumer meat prices, which will impact purchasing behaviors.
- During this time, the Midwest's grain production is expected to be heavily affected by drought, which is critical for livestock feed. This anticipated shortage may escalate the overall cost of raising livestock. Consequently, the elevated feed costs are likely to contribute to the overall rise in meat prices as producers pass these costs onto consumers.
- Climate change is also expected to exacerbate challenges such as heat stress in animals, reduced access to water and deteriorating pasture quality. These factors can directly impact growth rates, reproduction and overall herd health, further straining livestock operations and contributing to increased costs.

Industry Life Cycle

Contribution to GDP

The Meat Markets industry is growing relatively in line with the overall economy. The industry is well-established and meat remains a staple in the average American diet.

Market Saturation

Meat markets face swelling competition from supermarkets, grocery stores and online retailers offering a wider range of meat products at competitive prices.

Innovation

Opportunities for innovation are relatively limited for meat markets. Butchers and delicatessens are increasing their focus on value-added meat products and specialty cuts.

Consolidation

Strengthening competition has urged larger meat markets to lower costs through consolidation. Still, the Meat Markets industry is naturally fragmented since the small scale of meat markets sets them apart from other retailers.

Technology & Systems

Many butchers and delicatessens have adopted online ordering systems and mobile payment options to make purchasing more convenient. This helps meat markets remain competitive with substitutes like Amazon Fresh.



Key Success Factors

How do successful businesses overcome volatility?

Controlling stock

Meat market businesses overcome volatility by closely monitoring demand trends, maintaining strong supplier relationships and implementing inventory systems to reduce waste, ensure freshness and swiftly adapt to market fluctuations.

Establish supply contracts for key inputs

Meat market businesses overcome volatility by actively negotiating supply contracts with key suppliers. This ensures stable prices and consistent delivery schedules, which helps mitigate the impact of fluctuating market conditions.

What products or services do successful businesses offer?

Comply with required product standards

Meat markets ensure success by actively adhering to strict product standards and enhancing quality and safety. They implement rigorous inspections and modern processing techniques to meet regulations, building customer trust and boosting market competitiveness.

Invest in research and development

Meat markets achieve success by investing in research and development to improve product quality, innovate packaging solutions, optimize supply chain efficiency and meet consumer demands for sustainable and ethically sourced products.

How do successful businesses handle concentration?

Experienced work force

Consumers want the best quality meats, so they are more inclined to visit a meat market known for its experienced and knowledgeable staff regularly.

Marketing of differentiated products

Product differentiation includes offering ethnic varieties and smoking, stuffing and custom-cutting meats. Value-added products help meat markets stay competitive and gain customer loyalty.

Having a good reputation

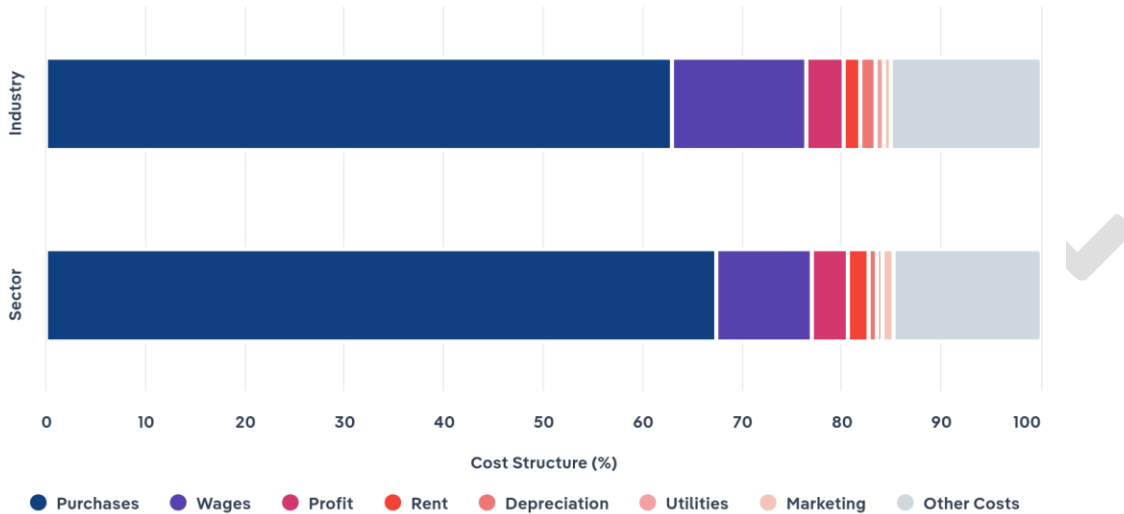
Most meat markets are independent, one-store operations that rely on a history of good service and word-of-mouth marketing to attain and retain customers.



Cost Structure Benchmarks

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2024



IBISWorld

Source: IBISWorld

Supplier contracts keep purchase costs stable

- Meat markets buy frozen, raw and cured meat and poultry from farmers and wholesalers. They then process, cut, package and sell these products to supermarkets, restaurants and individuals for consumption.
- Although purchase costs can fluctuate alongside weather-related effects or animal disease outbreaks, most meat markets establish favorable contracts with upstream suppliers to minimize volatility.
- Purchases have remained a steady revenue share over the past five years despite volatile upstream conditions, demonstrating the company's resilience and efficient management amid volatile upstream market conditions.

Meat markets incur substantial wage costs

- Operating a meat market is labor-intensive, keeping wage costs consistently high because of the need for expert butchers, customer service and regular maintenance of equipment and sanitation.
- Wage costs for meat markets have remained robust alongside inflated demand as businesses prioritize retaining skilled staff to maintain production and meet consumer needs.



- Wage costs have remained high post-pandemic because of the labor-intensive nature of the industry and steady demand in meat markets, which has resulted from the continued interest in cooking at home.

Profit stays steady despite demand fluctuations

- Profit for meat markets evades substantial volatility since meat products are considered staple items in the average American diet, ensuring consistent demand regardless of economic fluctuations.
- COVID-19 boosted demand for meat from butchers and delicatessens as consumers resolved to cook more meals at home when restaurants closed, leading to an unexpected surge in business for these local suppliers.
- Although people have returned to pre-pandemic habits like eating out, many people still continue to cook, benefiting meat markets and sustaining profit levels.

Share of economy vs. Investment



IBISWorld

Source: IBISWorld



SWOT Analysis

S STRENGTHS

- Over 40 years of brand recognition and community loyalty in Windsor
- Signature dry-cured, spiral-sliced ham with proprietary honey glaze recipe
- Long-term supplier relationships ensure quality and operational consistency
- Lean, experienced core team with low year-round labor overhead
- Fully equipped operation with \$119,200 in well-maintained assets
- Strategic location in high-traffic plaza with strong local visibility
- Minimal owner involvement; business runs independently with trained, reliable staff
- Loyal customer base returns annually for holidays and special occasions
- Strong word-of-mouth and organic customer acquisition without heavy marketing
- Efficient holiday staffing with 25–30 trained seasonal workers as needed
- High-margin grocery items like pickles, sauces, and smoked pepperettes
- Strong landlord relationship offers stability or relocation
- Effective product scarcity strategy (e.g. limiting off-the-bone ham per customer) creates urgency and drives early orders
- Competitive Pricing

W WEAKNESSES

- High seasonal dependence with sales concentrated in holiday periods
- No formal lease agreement currently; a month-to-month arrangement ongoing

O OPPORTUNITIES

- Relocate near Windsor's mega-hospital to boost daily deli traffic
- Launch targeted Google Ads or SEO for online pre-orders
- Expand corporate gifting program with custom packages and repeat clients
- Develop loyalty rewards or email campaigns to increase year-round engagement
- Extend Skip/Doordash menu to include bundled seasonal meal promotions

T THREATS

- Rising input costs could pressure ham margins without a pricing strategy
- Fluctuating U.S. dollar impacts the cost of imported meat and supplies
- Competition from supermarkets offering discounted or mass-market ham products
- Economic downturn



VI. PERSONNEL

Personnel Summary

Honey-Bee Ham Co. Inc. operates with a lean and efficient team, composed of three year-round employees and a seasonal workforce of 25–30 additional staff during peak holiday periods. These additional workers assist with customer service, packaging, order fulfillment, and pickup coordination. The core team is highly experienced, with clearly defined roles that support smooth day-to-day operations and exceptional customer service.

Name	Position	Years of Experience	Key Duties
Joanne Korona	Store Manager (Part-Time)	10+ years	Oversees day-to-day operations, and handles month-end tasks, inventory, and staff coordination.
Debbie Sinasac	Customer Service / Retail	8+ years	Assists customers, manages transactions, stocks shelves, and maintains store cleanliness.
Cheryl Desjaneais	Production / Support Staff	5+ years	Handles ham glazing, and early-morning prep, and fills in during absences or vacations.

Owner's Roles and Responsibilities

Jeff Rusnak began working at Honey-Bee Ham Co. Inc. in the early 1980s and has been involved with the business for over **40 years**. He officially took over ownership in **2018**, making him the sole shareholder and operator for the past **7+ years**. His deep knowledge of the business, its products, and its customer base has helped preserve its legacy while maintaining strong financial performance.

While Jeff is not involved in daily front-line operations, he oversees several key functions:

- Managing supplier relationships and ordering core inventory, including hams and specialty products.
- Coordinating seasonal hiring and training for the 25–30 temporary staff required during holidays.
- Handling large or custom orders, especially for corporate clients or special events.
- Maintaining equipment, vehicle, and premises, ensuring everything runs smoothly.
- Supporting the team during peak periods (e.g. holiday week glazing, customer service overflow).

Jeff's involvement is primarily strategic and operationally supportive, making the business highly turnkey. His willingness to support a transition period ensures that a new owner can take over with confidence.



VII. FINANCIAL ANALYSIS

Summary of EBITDA and SDE

Privately owned companies often attempt to keep taxes as low as possible. As a result, financial recasting is an important element to understanding the true earning capacity of a business. Recasting allows for meaningful comparisons with other investment opportunities. Financial recasting eliminates such items as excessive and discretionary expenses and nonrecurring revenues and expenses from the historical financial presentation (Non-Operational). Also, debt and interest expense are eliminated since they reflect the financing decisions of the current owner and may not represent financing preferences of a new owner. Similarly, depreciation and amortization are non-cash expenses and are therefore recast. The adjustments have not been verified, audited or confirmed by Valley Spire. The fiscal year end of the company is FYE September 30.

The following selected financial metrics are accountant prepared data adjusted for financial recasting and intend to reflect the verifiable true earning capacity of the company for the specified fiscal periods.

	FYE 2020		FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	Stated	Normalized	Stated	Normalized	Stated	Normalized	Stated	Normalized	Stated	Normalized
Net Sales	\$ 562,273	\$ 562,273	\$ 703,044	\$ 703,044	\$ 751,926	\$ 751,926	\$ 747,142	\$ 747,142	\$ 734,961	\$ 734,961
Cost of Sales	\$ 277,746	\$ 277,746	\$ 318,682	\$ 318,682	\$ 333,278	\$ 333,278	\$ 408,257	\$ 408,257	\$ 373,360	\$ 373,360
Gross Profit	\$ 284,527	\$ 284,527	\$ 384,362	\$ 384,362	\$ 418,648	\$ 418,648	\$ 338,885	\$ 338,885	\$ 361,601	\$ 361,601
Operating Expenses	\$ 208,148	\$ 253,148	\$ 208,784	\$ 253,784	\$ 229,929	\$ 279,929	\$ 241,948	\$ 267,948	\$ 223,361	\$ 249,361
Operating Income	\$ 76,379	\$ 31,379	\$ 175,578	\$ 130,578	\$ 188,719	\$ 138,719	\$ 96,937	\$ 70,937	\$ 138,240	\$ 112,240
Other Sales/Revenue	\$ 20,484	\$ -	\$ 16,464	\$ -	\$ 5,385	\$ -	\$ 7,490	\$ -	\$ 9,472	\$ -
Other Expenses	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Pre-Tax Income	\$ 96,863	\$ 31,379	\$ 192,042	\$ 130,578	\$ 194,104	\$ 138,719	\$ 104,427	\$ 70,937	\$ 147,712	\$ 112,240
Interest Expenses	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
EBIT	\$ 96,863	\$ 31,379	\$ 192,042	\$ 130,578	\$ 194,104	\$ 138,719	\$ 104,427	\$ 70,937	\$ 147,712	\$ 112,240
Amortization	\$ 11,946	\$ 11,946	\$ 8,666	\$ 8,666	\$ 6,620	\$ 6,620	\$ 5,412	\$ 5,412	\$ 5,541	\$ 5,541
Depreciation	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
EBITDA	\$ 108,809	\$ 43,325	\$ 200,708	\$ 139,244	\$ 200,724	\$ 145,339	\$ 109,839	\$ 76,349	\$ 153,253	\$ 117,781
Officer / Owner's salary		\$ 45,000		\$ 45,000		\$ 50,000		\$ 50,000		\$ 50,000
Seller's Discretionary Earnings		\$ 88,325		\$ 184,244		\$ 195,339		\$ 126,349		\$ 167,781

Detailed Statement of Income and Adjustments

	FYE 2020			FYE 2021			FYE 2022		
	Reported	Adjustments	Normalized	Reported	Adjustments	Normalized	Reported	Adjustments	Normalized
Net Sales	\$ 562,273	\$ -	\$ 562,273	\$ 703,044	\$ -	\$ 703,044	\$ 751,926	\$ -	\$ 751,926
Cost of Sales	\$ 277,746	\$ -	\$ 277,746	\$ 318,682	\$ -	\$ 318,682	\$ 333,278	\$ -	\$ 333,278
Adjustment to Inventory	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Gross Profit	\$ 284,527		\$ 284,527	\$ 384,362		\$ 384,362	\$ 418,648		\$ 418,648
Income Taxes	\$ 11,931	\$ 11,931	\$ - (1)	\$ 23,476	\$ 23,476	\$ - (1)	\$ 23,488	\$ 23,488	\$ - (1)
Operating Expenses									
Amortization	\$ 11,946	\$ 11,946	\$ - (2)	\$ 8,666	\$ 8,666	\$ - (2)	\$ 6,620	\$ 6,620	\$ - (2)
Owner Salary/Compensation	\$ -	\$ (45,000)	\$ 45,000 (3)	\$ -	\$ (45,000)	\$ 45,000 (3)	\$ -	\$ (50,000)	\$ 50,000 (3)
Accounting, bookkeeping and legal	\$ 5,480	\$ -	\$ 5,480	\$ 8,550	\$ -	\$ 8,550	\$ 6,867	\$ -	\$ 6,867
Advertising and promotion	\$ 15,968	\$ -	\$ 15,968	\$ 18,003	\$ -	\$ 18,003	\$ 21,425	\$ -	\$ 21,425
Automotive and travel	\$ 10,263	\$ -	\$ 10,263	\$ 5,137	\$ -	\$ 5,137	\$ 5,790	\$ -	\$ 5,790
Employee wages and benefits	\$ 95,737	\$ -	\$ 95,737	\$ 102,241	\$ -	\$ 102,241	\$ 119,548	\$ -	\$ 119,548
Insurance	\$ 5,577	\$ -	\$ 5,577	\$ 3,233	\$ -	\$ 3,233	\$ 5,105	\$ -	\$ 5,105
Interest and bank charges	\$ 3,371	\$ -	\$ 3,371	\$ 5,474	\$ -	\$ 5,474	\$ 7,536	\$ -	\$ 7,536
Licenses, Subscriptions and memberships	\$ 5,692	\$ -	\$ 5,692	\$ 8,696	\$ -	\$ 8,696	\$ 9,067	\$ -	\$ 9,067
Office supplies and miscellaneous	\$ 1,138	\$ -	\$ 1,138	\$ 2,568	\$ -	\$ 2,568	\$ 917	\$ -	\$ 917
Rent	\$ 28,306	\$ -	\$ 28,306	\$ 26,055	\$ -	\$ 26,055	\$ 26,055	\$ -	\$ 26,055
Repairs and maintenance	\$ 7,383	\$ -	\$ 7,383	\$ 6,175	\$ -	\$ 6,175	\$ 2,831	\$ -	\$ 2,831
Store supplies	\$ 5,943	\$ -	\$ 5,943	\$ 6,550	\$ -	\$ 6,550	\$ 9,743	\$ -	\$ 9,743
Utilities	\$ 7,404	\$ -	\$ 7,404	\$ 4,739	\$ -	\$ 4,739	\$ 5,225	\$ -	\$ 5,225
Telephone	\$ 3,940	\$ -	\$ 3,940	\$ 2,697	\$ -	\$ 2,697	\$ 3,200	\$ -	\$ 3,200
Total Operating Expenses	\$ 208,148		\$ 241,202	\$ 208,784		\$ 245,118	\$ 229,929		\$ 273,309
Operating Income	\$ 76,379		\$ 43,325	\$ 175,578		\$ 139,244	\$ 188,719		\$ 145,339
Other Income									
Gains (Losses) from Assets Sold	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Investment Income	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 2,246	\$ 2,246	\$ - (4)
Other Income -government subsidies	\$ 20,484	\$ 20,484	\$ - (4)	\$ 16,464	\$ 16,464	\$ - (4)	\$ 3,139	\$ 3,139	\$ - (4)
Total Other Income	\$ 20,484		\$ -	\$ 16,464		\$ -	\$ 5,385		\$ -
Total Other Expenses	\$ -		\$ -	\$ -		\$ -	\$ -		\$ -
Pre-Tax Income	\$ 96,863		\$ 43,325	\$ 192,042		\$ 139,244	\$ 194,104		\$ 145,339
Net Income	\$ 84,932		\$ 43,325	\$ 168,566		\$ 139,244	\$ 170,616		\$ 145,339

Notes:

- (1) - Adjusted to Pre-Tax
- (2) - Non Cash Item
- (3) - Added FMV Owner Salary
- (4) - Removed Owners Salary
- (5) - Removed Discretionary Travel Expense
- (6) - Removed Discretionary Vehicle Expense
- (7) - Unrelated to New Owner - Specific Mgmt Style
- (8) - Non Recurring

DETAILED STATEMENT OF INCOME AND ADJUSTMENTS (CONTINUED)

	FYE 2023			FYE 2024		
	Reported	Adjustments	Normalized	Reported	Adjustments	Normalized
Net Sales	\$ 747,142	\$ -	\$ 747,142	\$ 734,961	\$ -	\$ 734,961
Cost of Sales	\$ 408,257	\$ -	\$ 408,257	\$ 373,360	\$ -	\$ 373,360
Adjustment to Inventory	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Gross Profit	\$ 338,885		\$ 338,885	\$ 361,601		\$ 361,601
Income Taxes	\$ 14,305	\$ 14,305	\$ - (1)	\$ 15,010	\$ 15,010	\$ - (1)
Operating Expenses						
Amortization	\$ 5,412	\$ 5,412	\$ - (2)	\$ 5,541	\$ 5,541	\$ - (2)
Owner Salary/Compensation	\$ -	\$ (50,000)	\$ 50,000 (3)	\$ -	\$ (50,000)	\$ 50,000 (3)
Accounting, bookkeeping and legal	\$ 11,934	\$ -	\$ 11,934	\$ 10,150	\$ -	\$ 10,150
Advertising and promotion	\$ 19,876	\$ -	\$ 19,876	\$ 15,228	\$ -	\$ 15,228
Automotive and travel	\$ 2,497	\$ -	\$ 2,497	\$ 3,832	\$ -	\$ 3,832
Bad debt	\$ -	\$ -	\$ -	\$ 181	\$ -	\$ 181
Donations	\$ -	\$ -	\$ -	\$ 303	\$ -	\$ 303
Employee wages and benefits	\$ 121,862	\$ 24,000	\$ 97,862 (5)	\$ 113,658	\$ 24,000	\$ 89,658 (5)
Insurance	\$ 3,534	\$ -	\$ 3,534	\$ 3,239	\$ -	\$ 3,239
Interest and bank charges	\$ 7,201	\$ -	\$ 7,201	\$ 8,493	\$ -	\$ 8,493
Licenses, Subscriptions and memberships	\$ 8,015	\$ -	\$ 8,015	\$ 10,059	\$ -	\$ 10,059
Management fees -investments	\$ 3,303	\$ -	\$ 3,303	\$ 3,303	\$ -	\$ 3,303
Office supplies and miscellaneous	\$ 1,568	\$ -	\$ 1,568	\$ 492	\$ -	\$ 492
Rent	\$ 26,055	\$ -	\$ 26,055	\$ 26,055	\$ -	\$ 26,055
Repairs and maintenance	\$ 6,145	\$ -	\$ 6,145	\$ 2,766	\$ -	\$ 2,766
Store supplies	\$ 15,291	\$ -	\$ 15,291	\$ 9,881	\$ -	\$ 9,881
Utilities	\$ 9,255	\$ -	\$ 9,255	\$ 10,180	\$ -	\$ 10,180
Total Operating Expenses	\$ 241,948		\$ 262,536	\$ 223,361		\$ 243,820
Operating Income	\$ 96,937		\$ 76,349	\$ 138,240		\$ 117,781
Other Income						
Investment Income	\$ 7,490	\$ 7,490	\$ - (4)	\$ 9,282	\$ 9,282	\$ - (4)
Other Income -government subsidies	\$ -	\$ -	\$ -	\$ 190	\$ 190	\$ - (4)
Total Other Income	\$ 7,490		\$ -	\$ 9,472		\$ -
Total Other Expenses	\$ -		\$ -	\$ -		\$ -
Pre-Tax Income	\$ 104,427		\$ 76,349	\$ 147,712		\$ 117,781
Net Income	\$ 90,122		\$ 76,349	\$ 132,702		\$ 117,781

Notes:

- (1) - Adjusted to Pre-Tax
- (2) - Non Cash Item
- (3) - Added FMV Owner Salary
- (4) - Removed Owners Salary
- (5) - Removed Discretionary Travel Expense
- (6) - Removed Discretionary Vehicle Expense
- (7) - Unrelated to New Owner - Specific Mgmt Style
- (8) - Non Recurring

Normalized EBITDA and SDE Statements

The following normalized historical Income Statements for FYE **September 30, 2020** – FYE **September 30, 2024** are stated historical Income Statements, as prepared by the Company's Accountant, and then adjusted by financial recasting, and are intended to reflect the verifiable true earning capacity of the company for the specified fiscal periods.

	FYE 2020	% / Rev	FYE 2021	% / Rev	FYE 2022	% / Rev	FYE 2023	% / Rev	FYE 2024	% / Rev
Net Sales	\$ 562,273	100.0%	\$ 703,044	100.0%	\$ 751,926	100.0%	\$ 747,142	100.0%	\$ 734,961	100.0%
Cost of Sales	\$ 277,746	49.4%	\$ 318,682	45.3%	\$ 333,278	44.3%	\$ 408,257	54.6%	\$ 373,360	50.8%
Gross Profit	\$ 284,527	50.6%	\$ 384,362	54.7%	\$ 418,648	55.7%	\$ 338,885	45.4%	\$ 361,601	49.2%
Operating Expenses										
Amortization	\$ 11,946	2.1%	\$ 8,666	1.2%	\$ 6,620	0.9%	\$ 5,412	0.7%	\$ 5,541	0.8%
Owner Salary/Compensation	\$ 45,000	8.0%	\$ 45,000	6.4%	\$ 50,000	6.6%	\$ 50,000	6.7%	\$ 50,000	6.8%
Accounting, bookkeeping and legal	\$ 5,480	1.0%	\$ 8,550	1.2%	\$ 6,867	0.9%	\$ 11,934	1.6%	\$ 10,150	1.4%
Advertising and promotion	\$ 15,968	2.8%	\$ 18,003	2.6%	\$ 21,425	2.8%	\$ 19,876	2.7%	\$ 15,228	2.1%
Automotive and travel	\$ 10,263	1.8%	\$ 5,137	0.7%	\$ 5,790	0.8%	\$ 2,497	0.3%	\$ 3,832	0.5%
Bad debt	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ 181	0.0%
Donations	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ 303	0.0%
Employee wages and benefits	\$ 95,737	17.0%	\$ 102,241	14.5%	\$ 119,548	15.9%	\$ 97,862	13.1%	\$ 89,658	12.2%
Insurance	\$ 5,577	1.0%	\$ 3,233	0.5%	\$ 5,105	0.7%	\$ 3,534	0.5%	\$ 3,239	0.4%
Interest and bank charges	\$ 3,371	0.6%	\$ 5,474	0.8%	\$ 7,536	1.0%	\$ 7,201	1.0%	\$ 8,493	1.2%
Licenses, Subscriptions and memberships	\$ 5,692	1.0%	\$ 8,696	1.2%	\$ 9,067	1.2%	\$ 8,015	1.1%	\$ 10,059	1.4%
Management fees -investments	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ 3,303	0.4%	\$ 3,303	0.4%
Office supplies and miscellaneous	\$ 1,138	0.2%	\$ 2,568	0.4%	\$ 917	0.1%	\$ 1,568	0.2%	\$ 492	0.1%
Rent	\$ 28,306	5.0%	\$ 26,055	3.7%	\$ 26,055	3.5%	\$ 26,055	3.5%	\$ 26,055	3.5%
Repairs and maintenance	\$ 7,383	1.3%	\$ 6,175	0.9%	\$ 2,831	0.4%	\$ 6,145	0.8%	\$ 2,766	0.4%
Store supplies	\$ 5,943	1.1%	\$ 6,550	0.9%	\$ 9,743	1.3%	\$ 15,291	2.0%	\$ 9,881	1.3%
Utilities	\$ 7,404	1.3%	\$ 4,739	0.7%	\$ 5,225	0.7%	\$ 9,255	1.2%	\$ 10,180	1.4%
Telephone	\$ 3,940	0.7%	\$ 2,697	0.4%	\$ 3,200	0.4%	\$ -	0.0%	\$ -	0.0%
Total Operating Expenses	\$ 253,148	45.0%	\$ 253,784	36.1%	\$ 279,929	37.2%	\$ 267,948	35.9%	\$ 249,361	33.9%
Operating Income	\$ 31,379	5.6%	\$ 130,578	18.6%	\$ 138,719	18.4%	\$ 70,937	9.5%	\$ 112,240	15.3%
Other Income										
Gains (Losses) from Assets Sold	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
Investment Income	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
Other Income -government subsidies	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
Total Other Income	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
Total Other Expenses	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
Pre-Tax Income	\$ 31,379	5.6%	\$ 130,578	18.6%	\$ 138,719	18.4%	\$ 70,937	9.5%	\$ 112,240	15.3%
Interest Expense	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
EBIT	\$ 31,379	5.6%	\$ 130,578	18.6%	\$ 138,719	18.4%	\$ 70,937	9.5%	\$ 112,240	15.3%
Amortization	\$ 11,946	2.1%	\$ 8,666	1.2%	\$ 6,620	0.9%	\$ 5,412	0.7%	\$ 5,541	0.8%
EBITDA	\$ 43,325	7.7%	\$ 139,244	19.8%	\$ 145,339	19.3%	\$ 76,349	10.2%	\$ 117,781	16.0%
Owner Salary/Compensation	\$ 45,000	8.0%	\$ 45,000	6.4%	\$ 50,000	6.6%	\$ 50,000	6.7%	\$ 50,000	6.8%
SDE	\$ 88,325	15.7%	\$ 184,244	26.2%	\$ 195,339	26.0%	\$ 126,349	16.9%	\$ 167,781	22.8%



Recast Balance Sheet

The Balance Sheet represented herein is a snapshot as at **FYE 2024** and under the assumption that this business was transacted on the same date, shows the typical balance sheet items that would be retained by the seller and those transferred to a buyer.

Since this balance sheet is reflective of a historical point in time, it does not necessarily reflect what is included in the asking price. The asking price reflects **\$5,000** in working capital. The actual working capital transferred will be counted at closing and any difference between the value actually transferred and the value included in the asking price will result in an adjustment to the closing price.

	FYE 2024		
	Reported	Adjustment / Retained	Recast / Transferred
Current Assets			
Cash	\$ 15,986	\$ 15,986	\$ - (1)
Inventory	\$ 5,000	\$ -	\$ 5,000 (2)
Prepaid expenses and deposits	\$ 613	\$ 613	\$ - (1)
Investments - at cost	\$ 462,421	\$ 462,421	\$ - (1)
Total Current Assets	\$ 484,020	\$ 479,020	\$ 5,000
FF&E and Capital Assets			
Equipment	\$ 9,426	\$ -	\$ 9,426 (2)
Automobile	\$ 9,346	\$ -	\$ 9,346 (2)
Sign	\$ 2	\$ -	\$ 2 (2)
Computer	\$ 141	\$ -	\$ 141 (2)
Furniture & equipment	\$ 2,693	\$ -	\$ 2,693 (2)
Total FF&E and Capital Assets	\$ 21,608	\$ -	\$ 21,608
Other Assets			
Incorporation costs	\$ 915	\$ 915	\$ - (1)
Total Other Assets	\$ 915	\$ 915	\$ -
Total Assets	\$ 506,543	\$ 479,935	\$ 26,608
Current Liabilities			
Accounts Payable	\$ 4,357	\$ 4,357	\$ - (1)
Due to Shareholder(s)	\$ 734	\$ 734	\$ - (1)
HST payable	\$ 1,432	\$ 1,432	\$ - (1)
Income taxes payable	\$ (17,352)	\$ (17,352)	\$ - (1)
Total Current Liabilities	\$ (10,829)	\$ (10,829)	\$ -
Long Term Liabilities			
CEBA loan	\$ -	\$ -	\$ -
Capital lease payable	\$ -	\$ -	\$ -
Total Long Term Liabilities	\$ -	\$ -	\$ -
Total Liabilities	\$ (10,829)	\$ (10,829)	\$ -
Shareholder Equity			
Retained Earnings / Deficit	\$ 517,272	\$ -	\$ 517,272 (2)
Capital Stock	\$ 100	\$ 100	\$ - (1)
Buyer Equity	\$ -	\$ 490,664	\$ (490,664) (3)
Total Shareholder Equity	\$ 517,372	\$ 490,764	\$ 26,608
Total Liabilities and Shareholder Equity	\$ 506,543	\$ 479,935	\$ 26,608

Notes:

- (1) - Retained by Seller
(2) - Transferred to Buyer
(3) - Balancing Item



RECAST BALANCE SHEET (CONTINUED)

It should also be noted that the average Inventory to be transferred, is considered to be in saleable condition and, that all accounts receivables are assumed collectable within a normal and reasonable collection period. Any interest bearing debt and or capital leases are assumed to be fully fulfilled by the Vendor at closing unless otherwise negotiated.

The retained earnings have been recast to zero and assumed to be fully paid out as through dividends at closing. Any shareholder loan available at closing and assumed qualifying, could be transferred to the purchaser through the allocation of the purchase price thereby providing an instant tax free tunnel to the benefit of the purchaser while potentially reducing the capital gains exemption benefit being used up, to the benefit of the vendor by the same amount

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Historical Stated Balance Sheets

The following historical Balance Sheets for FYE **September 30, 2020** – FYE **September 30, 2024** have been prepared by the Company's Accountant as a Notice to Reader, providing a snapshot of the company's financial condition at that specific point in time. The information has not been verified, audited or confirmed by Valley Spire. Purchasers should seek the counsel of their accountants, lawyers and/or other professional advisors to confirm or verify the information.

	FYE 2020	FYE 2021	FYE 2022	FYE 2023	FYE 2024
Current Assets					
Cash	\$ 95,978	\$ 232,927	\$ 96,905	\$ 65,171	\$ 15,986
Accounts Receivable	\$ 6,332	\$ -	\$ -	\$ -	\$ -
Inventory	\$ 10,000	\$ 10,000	\$ 5,000	\$ 5,000	\$ 5,000
Prepaid expenses and deposits	\$ 422	\$ 121	\$ 144	\$ 97	\$ 613
Investments - at cost	\$ -	\$ -	\$ 252,246	\$ 356,433	\$ 462,421
Due from shareholder	\$ -	\$ -	\$ 36,748	\$ -	\$ -
Total Current Assets	\$ 112,732	\$ 243,048	\$ 391,043	\$ 426,701	\$ 484,020
FF&E and Capital Assets					
Equipment	\$ 2,369	\$ 1,895	\$ 1,516	\$ 5,258	\$ 9,426
Automobile	\$ 23,374	\$ 16,362	\$ 11,453	\$ 8,017	\$ 9,346
Sign	\$ 2	\$ 2	\$ 2	\$ 2	\$ 2
Computer	\$ 101	\$ 45	\$ 695	\$ 313	\$ 141
Furniture & equipment	\$ 4,853	\$ 5,259	\$ 4,207	\$ 3,366	\$ 2,693
Total FF&E and Capital Assets	\$ 30,699	\$ 23,563	\$ 17,873	\$ 16,956	\$ 21,608
Other Assets					
Incorporation costs	\$ 915	\$ 915	\$ 915	\$ 915	\$ 915
Total Other Assets	\$ 915	\$ 915	\$ 915	\$ 915	\$ 915
Total Assets	\$ 144,346	\$ 267,526	\$ 409,831	\$ 444,572	\$ 506,543
Current Liabilities					
Accounts Payable	\$ 10,880	\$ 13,476	\$ 9,118	\$ 14,380	\$ 4,357
Due to Shareholder(s)	\$ (39,528)	\$ (43,352)	\$ -	\$ 567	\$ 734
Current Portion of Long Term Debt	\$ 2,268	\$ 1,685	\$ -	\$ -	\$ -
HST payable	\$ 7,928	\$ 11,476	\$ 2,285	\$ 1,087	\$ 1,432
Income taxes payable	\$ -	\$ -	\$ 694	\$ (12,195)	\$ (17,352)
Total Current Liabilities	\$ (18,452)	\$ (16,715)	\$ 12,097	\$ 3,839	\$ (10,829)
Long Term Liabilities					
CEBA loan	\$ 30,000	\$ 40,000	\$ 40,000	\$ 40,000	\$ -
Capital lease payable	\$ 24,930	\$ 17,807	\$ 10,684	\$ 3,561	\$ -
Total Long Term Liabilities	\$ 54,930	\$ 57,807	\$ 50,684	\$ 43,561	\$ -
Total Liabilities	\$ 36,478	\$ 41,092	\$ 62,781	\$ 47,400	\$ (10,829)
Shareholder Equity					
Retained Earnings / Deficit	\$ 107,768	\$ 226,334	\$ 346,950	\$ 397,072	\$ 517,272
Capital Stock	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100
Total Shareholder Equity	\$ 107,868	\$ 226,434	\$ 347,050	\$ 397,172	\$ 517,372
Total Liabilities and Shareholder Equity	\$ 144,346	\$ 267,526	\$ 409,831	\$ 444,572	\$ 506,543
Equity	\$ 107,868	\$ 226,434	\$ 347,050	\$ 397,172	\$ 517,372



Historical Stated Income Statements

The following historical Income Statements for FYE **September 30, 2020** – FYE **September 30, 2024** have been prepared by the Company's Accountant as a Notice to Reader, indicating the profitability of the company as stated for the specified fiscal periods. The information has not been verified, audited or confirmed by Valley Spire. Purchasers should seek the counsel of their accountants, lawyers and/or other professional advisors to confirm or verify the information.

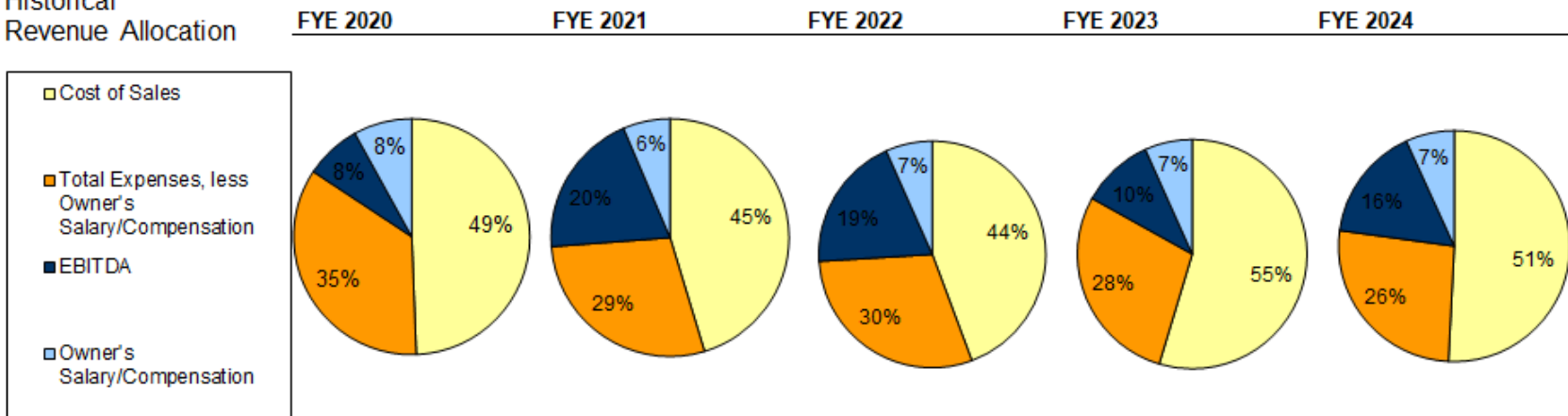
	FYE 2020	FYE 2021	FYE 2022	FYE 2023	FYE 2024
Net Sales	\$ 562,273	\$ 703,044	\$ 751,926	\$ 747,142	\$ 734,961
Cost of Sales	\$ 277,746	\$ 318,682	\$ 333,278	\$ 408,257	\$ 373,360
Gross Profit	\$ 284,527	\$ 384,362	\$ 418,648	\$ 338,885	\$ 361,601
Operating Expenses					
Amortization	\$ 11,946	\$ 8,666	\$ 6,620	\$ 5,412	\$ 5,541
Accounting, bookkeeping and legal	\$ 5,480	\$ 8,550	\$ 6,867	\$ 11,934	\$ 10,150
Advertising and promotion	\$ 15,968	\$ 18,003	\$ 21,425	\$ 19,876	\$ 15,228
Automotive and travel	\$ 10,263	\$ 5,137	\$ 5,790	\$ 2,497	\$ 3,832
Bad debt	\$ -	\$ -	\$ -	\$ -	\$ 181
Donations	\$ -	\$ -	\$ -	\$ -	\$ 303
Employee wages and benefits	\$ 95,737	\$ 102,241	\$ 119,548	\$ 121,862	\$ 113,658
Insurance	\$ 5,577	\$ 3,233	\$ 5,105	\$ 3,534	\$ 3,239
Interest and bank charges	\$ 3,371	\$ 5,474	\$ 7,536	\$ 7,201	\$ 8,493
Licenses, Subscriptions and memberships	\$ 5,692	\$ 8,696	\$ 9,067	\$ 8,015	\$ 10,059
Management fees -investments	\$ -	\$ -	\$ -	\$ 3,303	\$ 3,303
Office supplies and miscellaneous	\$ 1,138	\$ 2,568	\$ 917	\$ 1,568	\$ 492
Rent	\$ 28,306	\$ 26,055	\$ 26,055	\$ 26,055	\$ 26,055
Repairs and maintenance	\$ 7,383	\$ 6,175	\$ 2,831	\$ 6,145	\$ 2,766
Store supplies	\$ 5,943	\$ 6,550	\$ 9,743	\$ 15,291	\$ 9,881
Utilities	\$ 7,404	\$ 4,739	\$ 5,225	\$ 9,255	\$ 10,180
Telephone	\$ 3,940	\$ 2,697	\$ 3,200	\$ -	\$ -
Total Operating Expenses	\$ 208,148	\$ 208,784	\$ 229,929	\$ 241,948	\$ 223,361
Operating Income	\$ 76,379	\$ 175,578	\$ 188,719	\$ 96,937	\$ 138,240
Other Income					
Gains (Losses) from Assets Sold	\$ -	\$ -	\$ -	\$ -	\$ -
Investment Income	\$ -	\$ -	\$ 2,246	\$ 7,490	\$ 9,282
Other Income -government subsidies	\$ 20,484	\$ 16,464	\$ 3,139	\$ -	\$ 190
Total Other Income	\$ 20,484	\$ 16,464	\$ 5,385	\$ 7,490	\$ 9,472
Total Other Expenses	\$ -	\$ -	\$ -	\$ -	\$ -
Pre-Tax Income	\$ 96,863	\$ 192,042	\$ 194,104	\$ 104,427	\$ 147,712
Income Taxes	\$ 11,931	\$ 23,476	\$ 23,488	\$ 14,305	\$ 15,010
Net Income	\$ 84,932	\$ 168,566	\$ 170,616	\$ 90,122	\$ 132,702



Historical Revenue Allocation Analysis

Normalized	FYE 2020	% / Rev	FYE 2021	% / Rev	FYE 2022	% / Rev	FYE 2023	% / Rev	FYE 2024	% / Rev
Total Revenue	\$ 562,273	100%	\$ 703,044	100%	\$ 751,926	100%	\$ 747,142	100%	\$ 734,961	100%
Cost of Sales	\$ 277,746	49%	\$ 318,682	45%	\$ 333,278	44%	\$ 408,257	55%	\$ 373,360	51%
Total Expenses, less Owner's Salary/Compensation	\$ 196,202	35%	\$ 200,118	28%	\$ 223,309	30%	\$ 212,536	28%	\$ 193,820	26%
EBITDA	\$ 43,325	8%	\$ 139,244	20%	\$ 145,339	19%	\$ 76,349	10%	\$ 117,781	16%
Owner's Salary/Compensation	\$ 45,000	8%	\$ 45,000	6%	\$ 50,000	7%	\$ 50,000	7%	\$ 50,000	7%
SDE	\$ 88,325	16%	\$ 184,244	26%	\$ 195,339	26%	\$ 126,349	17%	\$ 167,781	23%

Historical
Revenue Allocation



5-Year Projected Income Statements, EBITDA & SDE

Per the information provided by you, the proforma EBITDA & SDE are projected based on normalized historical EBITDA & SDE assuming:

- Net sales have been projected to have a steady growth of 10% in 2025, 8% in 2026, and 5% growth onwards. Cost of sales is constant at 49.9% of revenue which is an average of the last 3 years. Owner Salary, Advertising and Promotion, Rent, and Utilities are projected to have a steady growth of 3%.
- All other expenses are projected to grow at a percentage of revenue similar to last year.

	Projected 2025	% / Rev	Projected 2026	% / Rev	Projected 2027	% / Rev	Projected 2028	% / Rev	Projected 2029	% / Rev
Net Sales	\$ 808,457	100.0%	\$ 873,134	100.0%	\$ 916,790	100.0%	\$ 962,630	100.0%	\$ 1,010,761	100.0%
Cost of Sales	\$ 403,597	49.9%	\$ 435,885	49.9%	\$ 457,679	49.9%	\$ 480,563	49.9%	\$ 504,591	49.9%
Gross Profit	\$ 404,860	50.1%	\$ 437,249	50.1%	\$ 459,111	50.1%	\$ 482,067	50.1%	\$ 506,170	50.1%
Operating Expenses										
Amortization	\$ 5,541	0.7%	\$ 5,541	0.6%	\$ 5,541	0.6%	\$ 5,541	0.6%	\$ 5,541	0.5%
Owner Salary/Compensation	\$ 51,500	6.4%	\$ 53,045	6.1%	\$ 54,636	6.0%	\$ 56,275	5.8%	\$ 57,964	5.7%
Accounting, bookkeeping and legal	\$ 11,165	1.4%	\$ 12,058	1.4%	\$ 12,661	1.4%	\$ 13,294	1.4%	\$ 13,959	1.4%
Advertising and promotion	\$ 15,685	1.9%	\$ 16,155	1.9%	\$ 16,640	1.8%	\$ 17,139	1.8%	\$ 17,653	1.7%
Automotive and travel	\$ 4,215	0.5%	\$ 4,552	0.5%	\$ 4,780	0.5%	\$ 5,019	0.5%	\$ 5,270	0.5%
Bad debt	\$ 199	0.0%	\$ 215	0.0%	\$ 226	0.0%	\$ 237	0.0%	\$ 249	0.0%
Employee wages and benefits	\$ 98,624	12.2%	\$ 106,514	12.2%	\$ 111,839	12.2%	\$ 117,431	12.2%	\$ 123,303	12.2%
Insurance	\$ 3,563	0.4%	\$ 3,848	0.4%	\$ 4,040	0.4%	\$ 4,242	0.4%	\$ 4,454	0.4%
Interest and bank charges	\$ 9,342	1.2%	\$ 10,090	1.2%	\$ 10,594	1.2%	\$ 11,124	1.2%	\$ 11,680	1.2%
Licenses, Subscriptions and memberships	\$ 11,065	1.4%	\$ 11,950	1.4%	\$ 12,548	1.4%	\$ 13,175	1.4%	\$ 13,834	1.4%
Management fees -investments	\$ 3,633	0.4%	\$ 3,924	0.4%	\$ 4,120	0.4%	\$ 4,326	0.4%	\$ 4,542	0.4%
Office supplies and miscellaneous	\$ 541	0.1%	\$ 584	0.1%	\$ 614	0.1%	\$ 644	0.1%	\$ 677	0.1%
Rent	\$ 26,837	3.3%	\$ 27,642	3.2%	\$ 28,471	3.1%	\$ 29,325	3.0%	\$ 30,205	3.0%
Repairs and maintenance	\$ 3,043	0.4%	\$ 3,286	0.4%	\$ 3,450	0.4%	\$ 3,623	0.4%	\$ 3,804	0.4%
Store supplies	\$ 10,869	1.3%	\$ 11,739	1.3%	\$ 12,326	1.3%	\$ 12,942	1.3%	\$ 13,589	1.3%
Utilities	\$ 10,485	1.3%	\$ 10,800	1.2%	\$ 11,124	1.2%	\$ 11,458	1.2%	\$ 11,801	1.2%
Total Operating Expenses	\$ 266,307	32.9%	\$ 281,943	32.3%	\$ 293,611	32.0%	\$ 305,797	31.8%	\$ 318,525	31.5%
Operating Income	\$ 138,553	17.1%	\$ 155,305	17.8%	\$ 165,501	18.1%	\$ 176,270	18.3%	\$ 187,645	18.6%
Total Other Income	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
Total Other Expenses	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
Pre-Tax Income	\$ 138,553	17.1%	\$ 155,305	17.8%	\$ 165,501	18.1%	\$ 176,270	18.3%	\$ 187,645	18.6%
Interest Expense	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%	\$ -	0.0%
EBIT	\$ 138,553	17.1%	\$ 155,305	17.8%	\$ 165,501	18.1%	\$ 176,270	18.3%	\$ 187,645	18.6%
Amortization	\$ 5,541	0.7%	\$ 5,541	0.6%	\$ 5,541	0.6%	\$ 5,541	0.6%	\$ 5,541	0.5%
EBITDA	\$ 144,094	17.8%	\$ 160,846	18.4%	\$ 171,042	18.7%	\$ 181,811	18.9%	\$ 193,186	19.1%
Owner's Salary at FMV	\$ 51,500	6.4%	\$ 53,045	6.1%	\$ 54,636	6.0%	\$ 56,275	5.8%	\$ 57,964	5.7%
SDE	\$ 195,594	24.2%	\$ 213,891	24.5%	\$ 225,678	24.6%	\$ 238,087	24.7%	\$ 251,149	24.8%



Performance and Growth Analysis

Five-year historical performance based on normalized financial history up to FYE **September 30, 2024** and normalized from accountant and management prepared financial statements.

	FYE 2020	FYE 2021	FYE 2022	FYE 2023	FYE 2024
Total Revenue	\$ 562,273	\$ 703,044	\$ 751,926	\$ 747,142	\$ 734,961
Cost of Sales	\$ 277,746	\$ 318,682	\$ 333,278	\$ 408,257	\$ 373,360
Gross Profit	\$ 284,527	\$ 384,362	\$ 418,648	\$ 338,885	\$ 361,601
Total Expenses	\$ 253,148	\$ 253,784	\$ 279,929	\$ 267,948	\$ 249,361
Total Expenses Before ITDA	\$ 241,202	\$ 245,118	\$ 273,309	\$ 262,536	\$ 243,820
Total Expenses Before ITDA & Owner's Salary	\$ 196,202	\$ 200,118	\$ 223,309	\$ 212,536	\$ 193,820
EBITDA	\$ 43,325	\$ 139,244	\$ 145,339	\$ 76,349	\$ 117,781
SDE	\$ 88,325	\$ 184,244	\$ 195,339	\$ 126,349	\$ 167,781

Pro Forma normalized financial projections over a five-year horizon to FYE **September 30, 2029**.

	Projected 2025	Projected 2026	Projected 2027	Projected 2028	Projected 2029
Total Revenue	\$ 808,457	\$ 873,134	\$ 916,790	\$ 962,630	\$ 1,010,761
Cost of Sales	\$ 403,597	\$ 435,885	\$ 457,679	\$ 480,563	\$ 504,591
Gross Profit	\$ 404,860	\$ 437,249	\$ 459,111	\$ 482,067	\$ 506,170
Total Expenses	\$ 266,307	\$ 281,943	\$ 293,611	\$ 305,797	\$ 318,525
Total Expenses Before ITDA	\$ 260,766	\$ 276,402	\$ 288,070	\$ 300,256	\$ 312,984
Total Expenses Before ITDA & Owner's Salary	\$ 209,266	\$ 223,357	\$ 233,433	\$ 243,980	\$ 255,021
EBITDA	\$ 144,094	\$ 160,846	\$ 171,042	\$ 181,811	\$ 193,186
SDE	\$ 195,594	\$ 213,891	\$ 225,678	\$ 238,087	\$ 251,149



Return On Investment (ROI) Analysis

BUYER JUSTIFICATION ANALYSIS

Select Cashflow Scenario	3-Year Historical Return			5 Year Projected Return on Buyer Investment							IRR
EBITDA	FYE 2022	FYE 2023	FYE 2024	Projected 2025	Projected 2026	Projected 2027	Projected 2028	Projected 2029	Totals		
Pre-Tax Cash Flow to Owner	145,339	76,349	117,781	144,094	160,846	171,042	181,811	193,186	850,979	Initial Investment	(147,900)
Capital Expenditure	(930)	(4,495)	(10,193)	(5,692)	(6,147)	(6,455)	(6,778)	(7,116)	(32,188)	FCF2025	61,949
Net Change in WC				0	453	285	294	303	1,335	FCF2026	78,699
Interest Payment - Bank Loan	0	0	0	(14,775)	(11,963)	(8,916)	(5,618)	(2,045)	(43,317)	FCF2027	88,419
Interest Payment - VTB				(4,513)	(2,830)	(1,026)	0	0	(8,368)	FCF2028	126,664
Principle Payment - Bank Loan	0	0	(40,000)	(33,888)	(36,701)	(39,747)	(43,046)	(46,619)	(200,000)	FCF2029	137,709
Principle Payment - VTB				(23,277)	(24,959)	(26,764)	0	0	(75,000)	Net SP	680,014
	144,409	71,854	67,588	61,949	78,699	88,419	126,664	137,709	493,440		65.1%
Pre-Tax Cash Flow	97.6%	48.6%	45.7%	41.9%	53.2%	59.8%	85.6%	93.1%	65.7%		
Return on Buyer Investment	IRR Before Taxes 64.0%			IRR Before Taxes 65.1%							

Assumptions:

Expected Purchase Price (Business)	\$ 420,000		
- Available Financing – Bank (Business) - Available Financing – VTB	\$ 200,000 \$ 75,000	- Interest Rate on Bank Loan (5 Yrs.) - Interest Rate on VTB (3 Yrs.)	8% 7%

Projected Working Capital

	FYE 2022	FYE 2023	FYE 2024	Average
Accounts Receivable	\$0	\$0	\$0	\$0
Inventory	\$5,000	\$5,000	\$5,000	\$5,000
Accounts Payable	\$9,118	\$14,380	\$4,357	\$9,285
				\$0

	FYE 2022	FYE 2023	FYE 2024	Average
Sales	\$751,926	\$747,142	\$734,961	\$744,676
COGS	\$333,278	\$408,257	\$373,360	\$371,632
Other Operating expenses	\$273,309	\$262,536	\$243,820	\$259,888

DSO (Days Sales Outstanding in A/R) (A/R)	0.0	0.0	0.0	0.0
DIO (Days Inventory Outstanding) (INV)	5.5	4.5	4.9	4.9
DPO (Days A/P Outstanding) (A/P)	10.0	12.9	4.3	9.0

Cash Conversion Cycle	-4.5	-8.4	0.6	-4.1
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Divided by Period in days	365	365	365	365
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Working Capital as Percent of Sales	-1.24%	-2.30%	0.17%	-1.12%
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Indicated Working capital	-\$9,291	-\$17,166	\$1,266	-\$8,370
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Historical Working Capital			
Year	Revenues	NWC	Change in NWC
FYE 2020	562,273	0	0
FYE 2021	703,044	-7,668	-7,664
FYE 2022	751,926	-8,424	-756
FYE 2023	747,142	-8,370	54
FYE 2024	734,961	-8,234	136
Projected Working Capital			
Year	Projected Revenues	Projected WC	Net Change in WC
Projected 2025	808,457	-9,057	
Projected 2026	873,134	-9,510	-453
Projected 2027	916,790	-9,795	-285
Projected 2028	962,630	-10,089	-294
Projected 2029	1,010,761	-10,392	-303



Cash Conversion Cycle

Cash Conversion Cycle measures efficiency of management's ability to use short-term assets and liabilities to generate cash for the company. It is measured in number of days and the shorter the duration, the more efficient and effective cash management style.

Cash Conversion Cycle					
	FYE 2020	FYE 2021	FYE 2022	FYE 2023	FYE 2024
Sales	562,273	703,044	751,926	747,142	734,961
COGS	277,746	318,682	333,278	408,257	373,360
A/R	6,332	0	0	0	0
Inventory	10,000	10,000	5,000	5,000	5,000
A/P	10,880	13,476	9,118	14,380	4,357
DSO	4	0	0	0	0
DIO	13	11	5	4	5
DPO	14	15	10	13	4
CCC	3	-4	-5	-8	1



VIII. FIXED ASSETS – OWNERS CURRENT EVALUATION

Furniture, Fixtures, and Equipment

Honey-Bee Ham Co. Inc. comes fully equipped with all the essential furniture, fixtures, and equipment required to continue operations without interruption. The asset package includes commercial-grade refrigeration units, food prep equipment, a branded delivery van, and retail display fixtures—well-maintained and in working condition. With an estimated **current market value of approximately \$119,200**, these assets provide significant operational value and reduce the need for additional capital investment post-acquisition.

Equipment	Purchase Price	Current Value
2018 Dodge Promaster 3500 (75,000 km)	\$90,000	\$42,000
3-Door Glass Reach-In Cooler (2022)	\$23,000	\$18,000
4' Glass Counter Cooler (2020)	\$9,000	\$6,000
10x30 Walk-In Cooler (2001)	\$30,000	\$10,000
Chest Freezer (2023, Costco)	\$1,300	\$1,300
Chest Freezer #2	-	\$500
Chest Freezer #3	-	\$200
Hobart Digital Weigh Scale & Printer	\$6,000	\$3,000
Stainless Prep Tables x7	\$20,000	\$10,000
Heavy Duty Steel Shelving x4	\$1,200	\$1,200
Blow Torches & Misc Parts	\$3,000	\$3,000
Restaurant Tables & Chairs (2020)	\$8,000	\$2,000
Walk-In Cooler with Glass Doors	\$20,000	\$10,000
Laptop Computers x4	\$3,000	\$3,000
Portable Printers x4	\$2,000	\$2,000
Hobart Meat Slicer	\$2,000	\$2,000
Meat Grinder	\$1,000	\$1,000
Sandwich Prep Cooler	\$4,000	\$4,000
Total:	\$223,500	\$119,200



IX. APPENDIX – GLOSSARY OF TERMS

Asset Sale [see Stock/Share Sale]

The Buyer acquires all or part of the company's assets; while the Seller retains the ownership of the company entity (Shares).

Capital Expenditure (CAPEX)

Funds used by a company to acquire or upgrade physical assets such as property, plant or equipment. This outlay is made by companies to maintain or increase the scope of their operations.

Cash Flow from Operation (CFO)

CFO represents the cash generated from the operations of a company. Cash flow is also often used to identify the company's earnings.

Earnings

Not to be confused with revenue. Earnings are synonymous with the profit of the business.

EBITDA [see EBIT, SDE]

= *Earnings before Interest, Taxes, Depreciation and Amortization*. EBITDA is an indicator of a company's financial performance. Could be normalized or not. When normalized it is net of any discretionary, non-recurring and non operational expenses or income. In essence, it is the Net profit of the business plus interest on long term debt plus taxes plus depreciation and amortization.

EBIT [see EBITDA, SDE]

= *Earnings before Interest, and Taxes*. It is the Net profit of the business plus interest on long term debt plus taxes plus depreciation and amortization.

Fair Market Value (FMV) [see Net Book Value]

The price at which the business and/or property would change hands between a willing buyer and a willing seller, neither being under any compulsion to buy or to sell and both having reasonable knowledge of the relevant facts.

Free Cash Flow (FCF) [see Free Cash Flow to Equity]

FCF represents the cash that a company is able to generate after meeting its reinvestment needs in the form of working capital and capital expenditures. Also called free cash flow to firm (FCFF), it is the cash available to be distributed to all capital providers of the company.

Free Cash Flow to Equity (FCFE) [see Free Cash Flow]

FCFE represents the cash available to be distributed to equity holders (owners) of the company.

Goodwill

The collection of intangible assets represented in dollars by the difference between the total purchase price for the business and the net value of the tangible assets being purchased.

Gross Margin

A company's total sales revenue minus cost of goods sold, divided by the total sales revenue, expressed as a percentage. Gross margin is an important measure of a company's profitability.

NAICS Code

North American Industry Classification System code.

Net Book Value (NBV) [see Fair Market Value]

NBV is the value at which an asset is carried on a balance sheet. It is the historical cost of an asset minus accumulated depreciation.

Normalized Financial Statements

Normalized financial statements are financial statements that have been adjusted to eliminate non-recurring and non-business related items.

Pro Forma

A method of calculating financial results emphasizing projected figures.

Regression Analysis

In general, regression analysis is a measure of the relationship between two variables (for example sales and costs) and is used to find the line that best represents the given data in order to get an indication of the extent to which one can predict some variables by knowing others. This is at times used in calculating forward looking projections.

SDE [see EBITDA, EBIT]

= *Seller's Discretionary Earnings*. SDE is a commonly used valuation multiple for small businesses where the buyer would most likely be an individual or main street buyer, who would take on a hands-on approach to working in the business. It is typically EBITDA plus one owner's salary adjusted to FMV.

SIC Code

Standard Industrial Classification code.

Stock/Share Sale [see Asset Sale]

The Buyer acquires all or part of the company's stock/shares and the ownership of the company or specific shares/stocks is/are transferred to the Buyer. Since the assets of the business are owned by the company and the company is an independent entity and its ownership is represented by the shares/stock, purchasing the shares includes the assets and liabilities of the company unless otherwise specifically excluded.

Working Capital

Also called net working capital, though there are a number of methods for calculating this, it is traditionally calculated as total current assets minus total current liabilities, excluding interest-bearing debt. Investment in Working Capital in the form of inventory and accounts receivable is necessary to maintain the company's daily operations. Working Capital is a measure of both a company's efficiency and its short-term financial health.